Waterloo Community School District
Waterloo, Iowa

Annual Comprehensive
Financial Report

For the Fiscal Year Ended June 30, 2021

Waterloo Community School District
Waterloo, Iowa

Comprehensive Annual Financial Report

For the Fiscal Year Ended June 30, 2021

Submitted By: Financial Services
Michael Coughlin, Chief Financial Officer

Waterloo Community School District
Table of Contents

I. Introductory Section

II. Financial Section

Waterloo Community School District
Table of Contents

November 22, 2021

To the Board of Education and Citizens
Waterloo Community School District

State law requires that all general-purpose local governments publish a complete set of financial statements presented in conformity with accounting principles and auditing standards generally accepted within the United States of America. Pursuant to that requirement, we hereby formally issue and transmit the comprehensive annual financial report (CAFR) for Waterloo Community School District for the fiscal year ended June 30, 2021.

This report consists of management's representations concerning the finances of Waterloo Community School District. Consequently, management assumes full responsibility for the completeness and reliability of all the information presented in this report. To provide a reasonable basis for making these representations, management of Waterloo Community School District has established a comprehensive internal control framework that is designed both to protect the District's assets from loss, theft or misuse and to compile sufficient reliable information for the preparation of Waterloo Community School District's financial statements in conformity with accounting principles generally accepted in the United States of America (GAAP). Because the cost of internal controls should not outweigh their benefits, Waterloo Community School District's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. As management, we assert that, to the best of our knowledge and belief, this financial report is complete and reliable in all material respects.

BerganKDV, Ltd., a firm of licensed certified public accountants, has audited Waterloo Community School District's financial statements. The goal of the independent audit was to provide reasonable assurance that the financial statements of Waterloo Community School District for the fiscal year ended June 30, 2021, are free of material misstatement. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that Waterloo Community School District's financial statements for the fiscal year ended June 30, 2021, are fairly presented in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report.

The independent audit of the financial statements of Waterloo Community School District was part of a broader, federally mandated "Single Audit" designed to meet the special needs of federal grantor agencies. The standards governing Single Audit engagements require the independent auditor to report not only on the fair presentation of the financial statements, but also on the audited government's internal controls and compliance with legal requirements involving the administration of federal awards. These reports are available in Waterloo Community School District's separately issued compliance report.

GAAP requires that management provide a narrative introduction, overview and analysis to accompany the basic financial statements in the form of Management's Discussion' and Analysis (MD&A). This letter of transmittal is designed to complement MD&A and should be read in conjunction with it. Waterloo Community School District's MD&A can be found immediately following the report of the independent auditors.

Profile of Waterloo Community School District

Waterloo Community School District is governed by a seven-member elected Board of Education who serve four- year terms. The Board of Education is a policy-making and planning body whose decisions are carried out by school administrators. Waterloo Community School District is the eighth largest of lowa's public schools. The enrollment is 10,626 students. Enrollment is expected to slightly increase for the 2021-22 school year based on the stability of instruction format that is recovering from necessary Covid 19 procedures. Waterloo Community School District operates a total of two regular high schools, one alternative high school, four middle schools, eleven elementary schools and various preschool locations. School buildings range in age from over 90 years old to a few years old. All facilities are in excellent condition as a rigorous maintenance schedule is followed. Waterloo Community School District provides a full range of educational services appropriate to students in early childhood and grades kindergarten through twelve. These services include regular and enriched academic education, special education for children with special needs, career technical education center and numerous individualized programs such as specialized instruction for at-risk students, for limited-English-speaking students and the International Baccalaureate program.

This report includes all funds of Waterloo Community School District. The District has no material component units and is not a component of another entity. The District provides a full range of services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra-curricular, co-curricular athletic and community education.

Waterloo Community School District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund are included in the annual appropriated budget. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level. During the year ended June 30, 2021, Waterloo Community School District did not exceed the amount budgeted in any function area and did not exceed its general fund unspent authorized budget.

Annually, Waterloo Community School District's Board of Education adopts a budget and approves the appropriations for the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund in accordance with provisions outlined in the Statutes of the State of Iowa. The budgets are prepared on a modified accrual basis. During the fiscal year, monthly financial reports are prepared comparing the budget to actual receipts and disbursements of the various funds.

Relevant financial policies

Waterloo Community School District operates under the laws as defined in the *Code of Iowa* and policies as determined by the local Board of Education. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenue and expenditures by function and object. The District additionally tracks revenue by source of funds and expenditures by location, curricular program and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

Waterloo Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board-approved allowable investments which include certificates of deposit, money markets, pooled investment trusts and obligations of the United States Treasury or its agencies. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Pandemic Federal Funding

In fiscal year 2020-21, the district experienced unprecedented federal financial support to recover from the effects of the Covid 19 pandemic. Funding to cover health and safety needs, technology needs and student instructional support was enacted by congress. Waterloo qualified to receive over $51 million by June 2024. This funding has enabled the district to initiate and continue

Local economy and economic outlook

The economic condition and outlook of Waterloo Community School District have improved in recent years, following many years of declining enrollment and slow economic growth. Waterloo Community School District's total taxable property valuation declined during the 1980's to $1,520,527,165 in 1989-90. Since then the total taxable property valuation has risen to $2,750,379,811 in 2020-21. However, the taxable valuation has been impacted by state mandated rollback in taxable valuation. The taxable valuation is currently only 55.0743% of the assessed valuation for property. Commercial property is taxed at 90% of the total valuation. The valuation of commercial property is approximately 41% of residential property.

Long-term financial planning

Waterloo Community School District is located in Black Hawk County. There is a statewide pool, with participating counties contributing tax revenue and then receiving back an allocation based on student enrollment. This funding is now known as secure an advanced vision for education (SAVE). All ninety-nine counties in Iowa currently have the one-cent local option tax for school districts. The Iowa legislature has enacted the program as permanent throughout the state, rather than individually by county. Community input as well as professional analysis has been taken into consideration for the overall plan of construction and remodeling. Retail sales have remained relatively stable during the uncertainty of the pandemic and hopes are that as the pandemic issues are addressed, they are projected to continue in favorable status. A recent analysis of retail sales that provide SAVE funding for capital projects, saw an increase of 7.21% over the 2019-20 school year.

Major initiatives

On June 30, 2015, voters of the District approved the continuation of the property, plant and equipment property tax levy (PPEL) for another ten years through fiscal year 2027. The levy passed with 81% approval.

For the 2015-2016 school year, Waterloo West and East High Schools were initially approved and continue as International Baccalaureate (IB) Schools. IB Schools have access to high-quality programs of education, which support development of knowledgeable and inquiring students, professional development that supports effective educators and collaborative professional learning communities and a worldwide network of highly respected 18 Schools working together to share best practice.

It is the District's quest to provide the best education for their students and ensure each child has a promising and fulfilling future. The District is seeking an expanded opportunity for their high schools. The work done by the High School Reform Task Force and Reform Steering Committee members and District staff over the past 4 years has provided recommendations to greatly enhance offerings in the area of career and technical education in the District by reengaging students at higher levels while setting them on a course to be better prepared for life after high school. Staff and community came together to determine the best course for District students through the following committees and initiatives:

The District has implemented 18 career and technical education programs in phases over the past 3-4 years and have remodeled and expanded the Central Middle School facility to house these career and technical education programs..

Awards and acknowledgements

Waterloo Community School District received the Certificate of Excellence in Financial Reporting from the Association of School Business Officials (ASBO) for the twenty-fourth consecutive year for the fiscal year ended June 30, 2020. Upon recommendation of the Association's Panel of Review, which has judged that the report substantially conforms to principles and standards of ASBO's Certificate of Excellence Program, we are submitting this report to ASBO to determine its eligibility for another certificate.

The Government Finance Officers Association of the United States and Canada (GFOA) presented the Award of Financial Reporting Achievement to Waterloo Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2020. This was the twenty-fourth consecutive year the District has achieved this prestigious award. In order to be awarded a certificate of achievement, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

The certificate of achievement is valid for a period of one year only. We believe our current comprehensive annual financial report continues to meet the GFOA's Achievement Program requirements, and we are submitting it to the GFOA to determine its eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the Financial Services staff of Waterloo Community School District. We would like to express our appreciation to all who assisted and contributed to this report with a special thanks to Nancy Schulzetenberg, CPA of BerganKDV, Ltd. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Michael L. Coughlin
Chief Financial Officer/Treasurer

Waterloo Community School District
Certificate of Achievement for Excellence in Financial Reporting

Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

Waterloo Community School District
Iowa

For its Comprehensive Annual
Financial Report
For the Fiscal Year Ended

June 30, 2020

Christopher P. Morrill

Executive Director/CEO

Waterloo Community School District
Award of Financial Reporting Achievement

ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

The Certificate of Excellence in Financial Reporting
is presented to

Waterloo Community School District

for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2020.

The CAFR meets the criteria established for
ASBO International's Certificate of Excellence.

CERTIFICATE OF EXCELLENCE
IN FINANCIAL REPORTING

W. Edward Chabal
President

David J. Lewis
Executive Director

Waterloo Community School District
District Administration
June 30, 2021

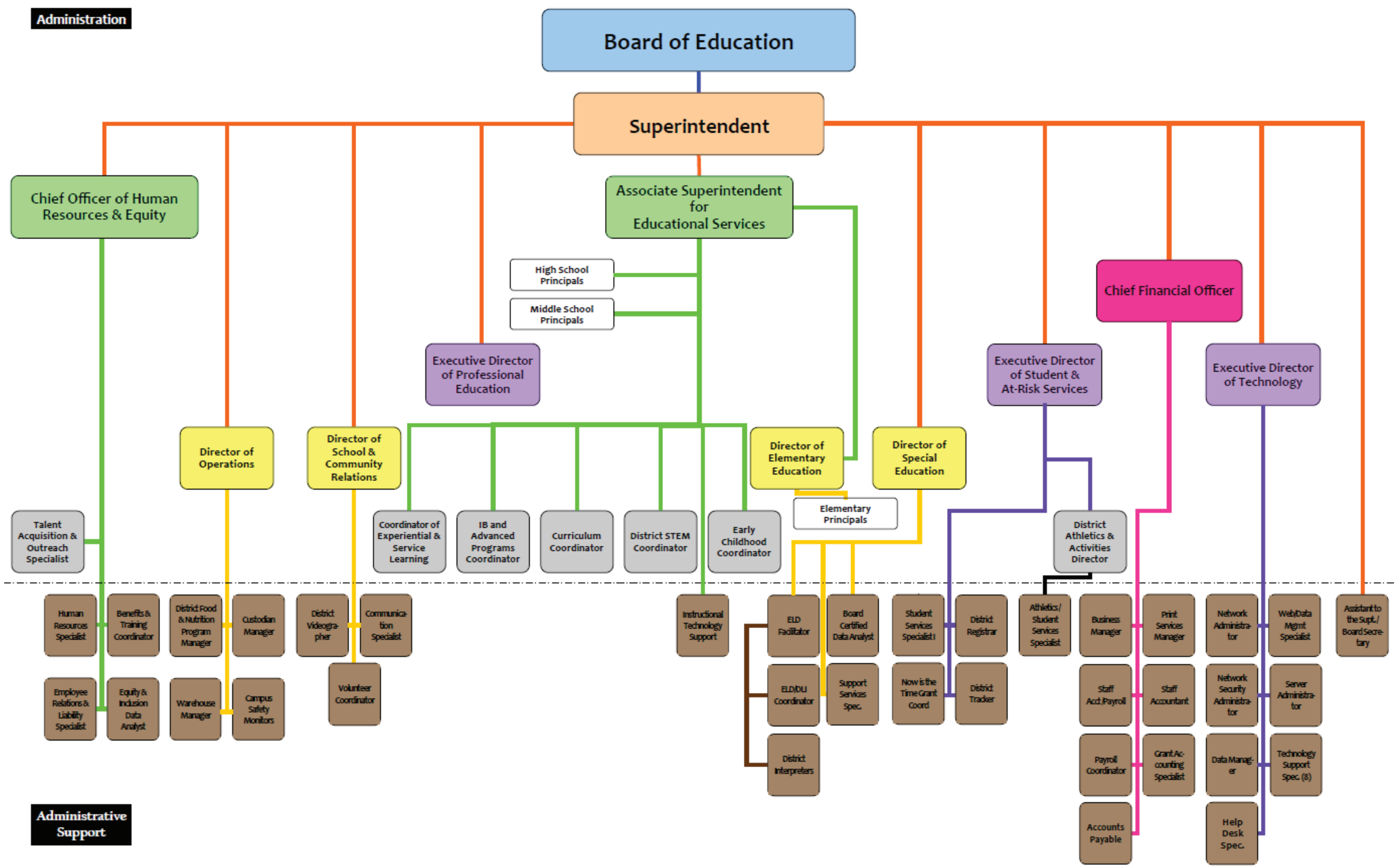
Dr. Jane Lindaman	Superintendent of Schools
Dr. Stephanie Mohorne	Associate Superintendent for Educational Services
Kingsley Botchway II	Chief Officer of Human Resources and Equity
Michael Coughlin	Chief Financial Officer/Treasurer
Marla Padget	Executive Director of Student & At Risk Services
Jeff Frost	Executive Director of Professional Education
Matt O'Brien	Executive Director of Technology
Dan Huff	Director of Athletics & Activities
Jen Hartman	Director of Elementary Education
Ivan Gentry	Director of Special Education
Marty Metcalf	Director of Operations
Tara Thomas	Director of School & Community Relations
Joe Parker	Principal, East High
Andy Miehe	Principal, West High
Cary Wieland	Principal, Expo Alternative Learning Center
Larry Martin	Principal, Bunger Middle School
Sheena Canady	Principal, Carver Academy
Ross Bauer	Principal, Central Middle School
Amy Schmidt	Principal, Hoover Middle School
Alex Hansen	Principal, Becker Elementary
Neldrekka Whitaker	Principal, Cunningham School for Excellence
Matt Willand	Principal, Highland Elementary
Zach Zimmerman	Principal, Irving Elementary
Jana Qualls	Principal, Kingsley Elementary
Audrey Wallican-Green	Principal, Kittrell Elementary
Adam Ahrendsen	Principal, Lincoln Elementary
Jake Young-Kent	Principal, Lou Henry Elementary
Carrie Heinzerling	Principal, Lowell Elementary
Sunni Hart	Principal, Orange Elementary
Jennifer Willand	Principal, Poyner Elementary
Dr. Charletta Sudduth	Early Childhood Coordinator
Tim Moses	Assistant Principal/Athletic Director, East High
Josh Payton	Assistant Principal, East High
Sharrie Wright	Assistant Principal, East High
Allie Hildman	Assistant Principal, West High
Byron Phillips	Assistant Principal, West High
Steve Winters	Assistant Principal, West High
Zach O'Brien	Assistant Principal, West High
Dr. Tony Pappas	Athletic Director, West High
Henry Shepherd	Assistant Principal, Expo Alternative Learning Center
Charlotte Coleman	Assistant Principal, Carver Middle School
Anthony Thomas	Assistant Principal, Bunger Middle School
Steve Thune	Assistant Principal, Carver Academy
Mike Thomas	Assistant Principal, Central Middle School
Mike Landers	Assistant Principal, Central Middle School
Lori Netty	Assistant Principal, Hoover Middle School
Cassandra Hart	Assistant Principal, Hoover Middle School
Sam Kreassig	Assistant Principal, Hoover Middle School
Mikayla Montgomery	Assistant Principal, Cunningham School for Excellence
Carrie Kammeyer	Assistant Principal, Highland Elementary
Melissa Stegall	Assistant Principal, Elk Run Preschool

Waterloo Community School District
Board of Education and Administration
June 30, 2021

Board of Education	Position	Term Expires
Shanlee McNally	President	November 2021
Sue Flynn	Vice President	November 2023
Jesse Knight	Board Member	November 2023
Astor Williams	Board Member	November 2021
Lyle Schmitt	Board Member	November 2023
Stacie Mills	Board Member	November 2023
Endya Johnson	Board Member	November 2021

School Officials		
Dr. Jane Lindaman	Superintendent	Indefinite
Pam Arndorfer	District Secretary	2021
Michael Coughlin	District Treasurer	2021
Steve Weidner	Attorney	Indefinite
Timothy Luce	Attorney	Indefinite

Waterloo Community School District
Organizational Chart
June 30, 2021



(THIS PAGE LEFT BLANK INTENTIONALLY)

FINANCIAL SECTION

(THIS PAGE LEFT BLANK INTENTIONALLY)

Independent Auditor's Report

To the School Board
Waterloo Community School District
Waterloo, Iowa

Report on the Basic Financial Statements
We have audited the accompanying basic financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ended June 30, 2021, and the related notes to basic financial statements, which collectively comprise the District's basic financial statements as listed in the Table of Contents.

Management's Responsibility for the Basic Financial Statements
The management of Waterloo Community School District is responsible for the preparation and fair presentation of these basic financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of basic financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility
Our responsibility is to express opinions on these basic financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards,* issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the basic financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the basic financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the basic financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the basic financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the basic financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions
In our opinion, the basic financial statements referred to in the first paragraph present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of June 30, 2021, and the respective changes in financial position and, where applicable, cash flows thereof, for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Implementation of GASB 84
As discussed in Note 17 to the basic financial statements, the District has adopted new accounting guidance, Governmental Accounting Standards Board (GASB) Statement No. 84, Fiduciary Activities. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, which follows this report letter, and the Required Supplementary Information as listed in the Table of Contents be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the GASB, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the basic financial statements that collectively comprise the District's basic financial statements. The Introductory Section, the supplementary information identified in the Table of Contents and the Statistical Section are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The accompanying supplementary information identified in the Table of Contents is the responsibility of management and was derived from and relates directly to, the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Matters (Continued)

Other Information (Continued)

The Introductory and Statistical Sections have not been subjected to the audit procedures applied in the audit of the basic financial statement and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 9, 2021, on our consideration of the District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

BerganKDV, Ltd.

St. Cloud, Minnesota
November 9, 2021

(THIS PAGE LEFT BLANK INTENTIONALLY)

MANAGEMENT'S DISCUSSION AND ANALYSIS

Waterloo Community School District provides this management's discussion and analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2021. We encourage readers to consider this information in conjunction with the District's financial statements, which follow this narrative overview and analysis.

Financial Highlights

- The assets and deferred outflows of resources of Waterloo Community School District exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by $99,740,930.
- The General Fund cash, cash equivalents, receivables and investments increased 22.9% to $48,795,773 and the General fund balance increased 57.7% to $29,206,917.
- The State of Iowa granted a 2.30% state supplementary aid [SSA] previously known as allowable growth increase for fiscal year 2021 and previously 2.06% for 2020, 1.11% for 2019 and 2.25% for 2018. As a general rule, a SSA /allowable growth rate of 4-6% is required to fully maintain the increases of the budget for all programs to remain constant. The past history of the allowable growth rate set between 0% and 4% has posed many challenges to the District's educational delivery system.
- In approved 2019 State Legislative action, the Secure an Advanced Vision for Education (SAVE) state one-cent sales tax which has been in effect through 2029 has been extended 20 years to 2050. The state extension guarantees longevity and ability to maintain a Facility Improvement Plan with the added ability for the District to bond against the proceeds without increasing property taxes.
- Since the original LOSST/SAVE funding began in fiscal year 1999-2000, the District has constructed nine new elementary schools, one new middle school, extensively remodeled two elementary schools, created the Waterloo Career Center and completed other significant projects.

Walter Cunningham School of Excellence	2001-2002	New Building
East High School	2001-2002	Commons Area
West High School	2001-2002	Commons Area
Irving Elementary	2002-2003	New Building
Bunger Middle School	2003-2004	Classrooms Addition
Lincoln Elementary	2003-2004	New Building
Lou Henry Elementary	2004-2005	New Building
Hoover Middle School	2004-2005	Classrooms Addition
Kingsley Elementary	2005-2006	Remodel Building
Lowell Elementary	2004-2008	Remodel Building
Poyner Elementary	2006-2007	New Building
East High School	2006-2007	Auditorium Project
West High School	2006-2007	Locker Room Project
East High School	2007-2008	Locker Room Project
West High School	2008-2009	Auditorium Project
George Washington Carver Academy	2008-2009	New Building
Kittrell Elementary School	2008-2009	New Building
Highland Elementary School	2008-2009	New Building
Expo Alternative Education Center	2010-2011	Remodel Building
Kittrell Early Childhood Center	2010-2011	Remodel Building
West High School	2011-2012	Remodel Classrooms
Fred Becker Elementary	2011-2012	New Building
Orange Elementary	2012-2013	New Building
Hoover Middle School	2012-2014	Music and Commons Area
Bus Garage/Technology Offices	2014-2015	Remodel Buildings
Waterloo Career Center	2015-2020	Remodel Building
Lowell Elementary	2020-2022	New Building

MANAGEMENT'S DISCUSSION AND ANALYSIS

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's discussion and analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The government-wide financial statements consist of a statement of net position and a statement of activities. These provide information about the activities of Waterloo Community School District as a whole and present an overall view of the District's finances.

The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Waterloo Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Waterloo Community School District acts solely as a custodian for the benefit of those outside of the District.

Notes to the financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

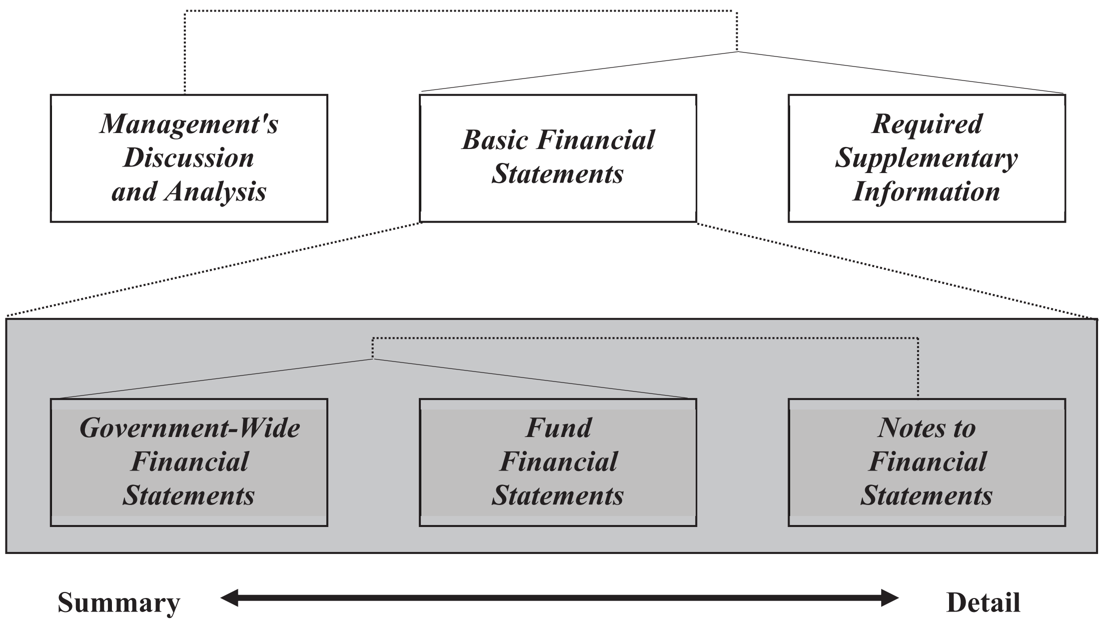
Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the schedule of changes in total OPEB liability for the retiree health plan.

Supplementary information provides detailed information about the nonmajor governmental funds.

USING THIS ANNUAL REPORT (CONTINUED)

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Waterloo Community School District Annual Financial Report



USING THIS ANNUAL REPORT (CONTINUED)

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2
Major Features of the Government-Wide and Fund Financial Statements

	Government-Wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and internal services	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and agency monies
Required financial statements	• Statement of net position • Statement of activities	• Balance sheet • Statement of revenue, expenditures and changes in fund balances	• Statement of net position • Statement of revenue expenses, and changes in fund net position • Statement of cash flows	• Statement of fiduciary net position • Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/ liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow/inflow information	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of fund balance that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period
Type of inflow/ outflow information	All revenue and expenses during year, regardless of when cash is received or paid	Revenue for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenue and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenue and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities*: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.

- *Business-type activities*: The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show it is properly using certain revenue such as federal grants.

The District has three kinds of funds:

1. *Governmental funds*: Most of the District's basic services are included in governmental funds, which generally focus on (a) how cash and other financial assets that can readily be converted to cash flow in and out and (b) the balances left at year end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

   The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

   The required financial statements for governmental funds include a balance sheet and a statement of revenue, expenditures, and changes in fund balances.

2. *Proprietary funds*: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's enterprise fund, one type of proprietary fund, is the same as its business-type activities, but provides more detail and additional information, such as cash flows. The District's enterprise fund is the School Nutrition Fund. Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District's internal service fund is the Print Shop Fund.

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES (CONTINUED)

Fund Financial Statements (Continued)

2. The required financial statements for proprietary funds include a statement of net position, a statement of revenue, expenses and changes in fund net position and a statement of cash flows.

3. *Fiduciary Funds*: The District is the trustee, or fiduciary, for assets that belong to others. These funds include the Private-Purpose Trust and Custodial Funds.
   The Private-Purpose Trust Fund is used to account for outside donations for scholarships for individual students.

   The Custodial Fund is used to account for assets held by the District as a custodian for individuals and committees within the District for various designated purposes.

   The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

   The required financial statements for fiduciary funds include a statement of fiduciary net position and a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position as of June 30, 2021, compared to June 30, 2020.

Figure A-3
Condensed Statement of Net Position

	Governmental Activities June 30,		Business- Type Activities June 30,		Total District June 30,		Percent
	2021	2020	2021	2020	2021	2020	Change
Current and other assets	$ 143,914,700	$ 117,757,610	$ 1,662,488	$ 1,418,668	$ 145,577,188	$ 119,176,278	22.15%
Capital assets	177,750,303	172,278,065	310,005	422,852	178,060,308	172,700,917	3.10%
Total assets	321,665,003	290,035,675	1,972,493	1,841,520	323,637,496	291,877,195	10.88%
Deferred outflows of resources	19,808,913	19,137,186	446,743	413,758	20,255,656	19,550,944	3.60%
Total assets and deferred outflows of resources	$ 341,473,916	$ 309,172,861	$ 2,419,236	$ 2,255,278	$ 343,893,152	$ 311,428,139	10.42%
Current liabilities	$ 60,969,479	$ 28,555,283	$ 228,604	$ 208,601	$ 61,198,083	$ 28,763,884	112.76%
Long-term liabilities	138,071,357	136,103,375	2,100,199	1,757,586	140,171,556	137,860,961	1.68%
Total liabilities	199,040,836	164,658,658	2,328,803	1,966,187	201,369,639	166,624,845	20.85%
Deferred inflows of resources	42,699,408	51,125,681	83,175	280,939	42,782,583	51,406,620	-16.78%
Net position							
Net investment in capital assets	98,605,122	104,757,255	310,005	422,852	98,915,127	105,180,107	-5.96%
Restricted	41,587,651	37,301,579	-	-	41,587,651	37,301,579	11.49%
Unrestricted	(40,459,101)	(48,670,312)	(302,747)	(414,700)	(40,761,848)	(49,085,012)	-16.96%
Total net position	99,733,672	93,388,522	7,258	8,152	99,740,930	93,396,674	6.79%
Total liabilities, deferred inflows of resources and net position	$ 341,473,916	$ 309,172,861	$ 2,419,236	$ 2,255,278	$ 343,893,152	$ 311,428,139	10.42%

GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

The District's total net position increased 6.8%, or $6,344,256, from the prior year. The primary reason for the increase was positive fund operations.

The largest portion of the District's net position is invested in capital assets (e.g., land, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets. The primary reason for the decrease in Capital Assets is the demolition and disposal of Lowell Elementary School combined with continued depreciation on existing assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased $4,286,072, or 11.5%, over the prior year due to increased debt payments for capital projects and increased school infrastructure projects in progress.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - increased $8,323,164, or 16.7%. The increase in unrestricted net position was primarily a result of positive fund operations.

Figure A-4 shows changes in net position for the year ended June 30, 2021 compared to year ended June 30, 2020.

Figure A-4
Changes in Net Position

	Governmental Activities		Business-Type Activities		Total District		Percent
	2021	2020	2021	2020	2021	2020	Change
Revenues							
Program revenues							
Charges for services	$ 1,973,011	$ 2,750,979	$ 58,038	$ 147,905	$ 2,031,049	$ 2,898,884	-29.94%
Operating grants and contributions and restricted interest	32,091,282	33,521,342	5,619,626	5,536,063	37,710,908	39,057,405	-3.45%
Capital grants and contributions and restricted interest	150	7,207	-	-	150	7,207	-97.92%
General revenues							
Property tax	40,752,377	39,611,680	-	-	40,752,377	39,611,680	2.88%
Statewide sales, services and use tax	10,920,298	11,095,519	-	-	10,920,298	11,095,519	-1.58%
Unrestricted state and federal grants	84,754,808	67,506,132	-	-	84,754,808	67,506,132	25.55%
Unrestricted investment earnings	578,995	1,081,051	2,498	10,082	581,493	1,091,133	-46.71%
Total revenues	171,070,921	155,573,910	5,680,162	5,694,050	176,751,083	161,267,960	9.60%
Program Expenses							
Instruction	102,881,614	99,879,047	-	-	102,881,614	99,879,047	3.01%
Support services	51,678,700	47,295,898	-	-	51,678,700	47,295,898	9.27%
Noninstructional programs	1,112,247	1,172,254	5,681,056	6,027,419	6,793,303	7,199,673	-5.64%
Other	9,053,210	8,266,425	-	-	9,053,210	8,266,425	9.52%
Total expenses	164,725,771	156,613,624	5,681,056	6,027,419	170,406,827	162,641,043	4.77%
Change in net position before transfers	6,345,150	(1,039,714)	(894)	(333,369)	6,344,256	(1,373,083)	562.04%
Transfers	-	(333,175)	-	333,175	-	-	N/A
Change in net position	6,345,150	(1,372,889)	(894)	(194)	6,344,256	(1,373,083)	562.04%
Beginning of year net position	93,388,522	94,761,411	8,152	8,346	93,396,674	94,769,757	-1.45%
End of year net position	$ 99,733,672	$ 93,388,522	$ 7,258	$ 8,152	$ 99,740,930	$ 93,396,674	6.79%

In fiscal year 2021, property tax and unrestricted state grants accounted for 73.4% of governmental activities revenue while charges for service and operating grants, contributions and unrestricted interest accounted for 100% of business-type activities revenue. The District's total revenue was approximately $176.8 million, of which approximately $171.1 million was for governmental activities and $5.7 million was for business-type activities.

GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

As shown in Figure A-4, the District as a whole experienced a 9.6% increase in revenue and a 4.8% increase in expenses. The overall change in revenue was due to increases in unrestricted state and federal grants. The increase in expenses is primarily related to costs related to spending the increased amount of state and federal grants received.

Governmental Activities

Revenue for governmental activities was $171,070,921 and expenses were $164,725,771, which amounted to an increase in net position of $6,345,150 for the year ended June 30, 2021.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, non-instructional programs and other expenses for the year ended June 30, 2021, compared to the year ended June 30, 2020.

Figure A-5
Total and Net Cost of Governmental Activities

	Total Cost of Service			Net Cost of Service		
	2021	2020	Percentage Change	2021	2020	Percentage Change
Instruction	$ 102,881,614	$ 99,879,047	3.01%	$ 74,848,747	$ 66,059,298	13.31%
Support Services	51,678,700	47,295,898	9.27%	46,481,203	45,668,429	1.78%
Non-instructional programs	1,112,247	1,172,254	-5.12%	1,112,247	1,172,254	-5.12%
Other	9,053,210	8,266,425	9.52%	8,219,131	7,434,115	10.56%
Total	$ 164,725,771	$ 156,613,624	5.18%	$ 130,661,328	$ 120,334,096	8.58%

For the year ended June 30, 2021:

- The cost financed by users of the District's programs was $1,973,011.
- Federal and state governments and private entities subsidized certain programs with grants and contributions totaling $32,091,432.
- The net cost of governmental activities was financed with $51,672,675 in property and other taxes, $84,754,808 in unrestricted state and federal grants and $578,995 in unrestricted investment earnings.

Business-Type Activities

Revenue for business-type activities during the year ended June 30, 2021, was $5,680,162, representing a 0.2% decrease over the prior year, while expenses totaled $5,681,056, a 5.7% decrease over the prior year. The District's business-type activities include the School Nutrition Fund. Revenue of these activities was comprised of charges for service, federal and state reimbursements and grants and investment earnings.

- Charges for service represent 1.1% of total revenue for fiscal years 2021. This represents the amount paid by students/staff for daily food service.
- Federal and state operating grants, included reimbursement for meals, payments for free and reduced lunches, commodities provided to the District and other miscellaneous grants, totaled $5,619,626, or 98.9%, of total revenue. This is reflective of the District's transition to the Community Eligibility Program that results in more students receiving meals at no cost.

MANAGEMENT'S DISCUSSION AND ANALYSIS

INDIVIDUAL FUND ANALYSIS

As previously noted, Waterloo Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of $81,510,642, an increase of $25,827,984 from last year's ending fund balances of $55,682,658. The primary reason for the increase in combined fund balances at the end of fiscal year 2021 was to due increased state and federal grants received as well as unspent bond proceeds. Revenue increased from the prior year; $15,820,967, or 10.2% due to increased state and federal grants received. Expenditures increased 10.3% due to more capital projects in 2021.

Governmental Fund Highlights
The General Fund is the chief operating fund of the District. At the end of fiscal year 2021, unassigned fund balance of the General Fund was $26,948,864 while total fund balance increased from $18,524,155 at the end of fiscal year 2020 to $29,206,917 the end of fiscal year 2021.

The General Fund balance increased by $10,682,762, or 57.7%, during the current fiscal year. The primary reasons for this increase was an increase in state and federal funding received in 2021.

The Debt Service Fund balance increased from $18,272,341 at the end of fiscal year 2020 to $22,594,426 at the end of fiscal year 2021. Current year expenditures included bond interest and fiscal charges and principal payments. The increase in fund balance is primarily related to the use of the sinking fund to hold QSCB Bond payments until full bond is mature.

The Capital Projects Fund balance increased from $16,292,484 as of June 30, 2020, to $26,957,075 as of June 30, 2021. Revenue amounts were consistent with the previous year. Expenditures increased in the current year primarily due to the construction of Lowell Elementary that took place in the current year. Transfers to the Debt Service Fund increased due to the increased debt payment requirements. Bonds were also issued to finance the construction of Lowell Elementary.

Proprietary Fund Highlights
School Nutrition Fund net position was $7,258 as of June 30, 2021. Revenue stayed consistent primarily due to fewer meals distributed due to COVID-19 offset by higher reimbursement rates through the summer food service program. Expenses decreased also due to fewer meals distributed due to COVID-19. In 2020, the District enrolled all nineteen buildings in the Community Eligibility Provision [CEP] which offers free breakfast and lunch to the student population.

BUDGETARY HIGHLIGHTS

In accordance with state law, the school board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The District adopts a budget in April for the following year and at the same time considers a budget amendment for expenditures for the current year. The District did not amend its original budget for fiscal year 2021.

A schedule showing the original and final budget amounts compared to the District's actual financial activity is provided in this report as required supplementary information.

The District's total revenue was $7,916,943 more than total budgeted revenue, a variance of 4.7%, primarily due to receiving more federal aid than anticipated.

Total expenditures were $24,464,608 less than total budgeted expenditures, a variance of 12.2%, primarily due to the staffing costs being lower than anticipated and the construction project not completed to anticipated level. .

BUDGETARY HIGHLIGHTS (CONTINUED)

The certified budget was not exceeded in any area during the year and the District's total spending authority was not exceeded

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

As of June 30, 2021, the District had invested $178,060,308, net of accumulated depreciation, in a broad range of capital assets, including land, buildings and improvements, land improvements, equipment, furniture and construction in progress. (See Figure A-6). This represents a net increase of 3.1% from last year. More detailed information about the District's capital assets is presented in Note 5 to the financial statements. Depreciation expense was $6,115,294 for Governmental Activities and $112,847 for Business-Type Activities.

The original cost of the District's capital assets was approximately $273.5 million. Governmental funds account for approximately $269.9 million with the remainder of approximately $3.6 million accounted for in the Proprietary, School Nutrition Fund.

Figure A-6
Capital Assets, Net of Depreciation

	Governmental Activities		Business-Type Actvities		Total District		
	June 30,		June 30,		June 30,		Percentage
	2021	2020	2021	2020	2021	2020	Change
Land	$ 3,441,332	$ 3,441,332	$ -	$ -	$ 3,441,332	$ 3,441,332	0.00%
Construction in progress	18,004,955	2,556,710	-	-	18,004,955	2,556,710	604.22%
Buildings and Improvements	147,345,105	157,512,035	-	-	147,345,105	157,512,035	-6.45%
Improvements other than buildings	5,685,639	5,521,021	-	-	5,685,639	5,521,021	2.98%
Furniture and equipment	3,273,272	3,246,967	310,005	422,852	3,583,277	3,669,819	-2.36%
Total	$ 177,750,303	$ 172,278,065	$ 310,005	$ 422,852	$ 178,060,308	$ 172,700,917	3.10%

The decrease in capital assets was primarily related to current year depreciation exceeding current year additions.

Construction in progress as of June 30, 2020 included:

- Lowell Elementary
- Various other projects

Construction in progress as of June 30, 2021 included:

- Lowell Elementary
- Various other projects

Long-Term Debt

As of June 30, 2021, the District had $91,715,127 of total long-term debt outstanding. This represents an increase of 29.0% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The Constitution of the State of Iowa limits the amount of debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding debt is significantly below its constitutional debt limit of approximately $238.4 million.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Figure A-7
Outstanding Long-Term Debt

	Total District June 30, 2021	Total District June 30, 2020	Percent Change
Revenue Bonds	$ 88,498,539	$ 71,043,539	24.6%
Unamortized bond premium	3,216,588	53,705	5889.4%
Total	$ 91,715,127	$ 71,097,244	29.0%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The economic factor facing every Iowa school district is the fallout from the COVID-19 pandemic. In March of 2020, the Iowa Governor closed all public-school buildings, and the 2019-20 instructional year was completed with virtual learning opportunities. To address this, the district invested heavily in internet connections, student computer technology, and professional development for staff. Within the buildings, deep cleaning protocols were developed and the state Department of Education "Return to Learn" plan was developed for the start of 2020-21 school year. A significant portion of the additional cost was covered by the CARES and ESSER funds received from the federal government. Future effects are yet to be determined by student enrollment changes, facility needs, state and federal funding and the continuation of the pandemic. However, in light of all these challenging conditions, the district remains confident that effective planning and timely implementations will ensure financial health and instructional effectiveness.

- The Iowa State Legislature enacted major changes to Iowa Code Chapter 20: Collective Bargaining, which stripped most areas of mandatory subjects of bargaining. Arbitration awards were also limited by Consumer Price Index percentages. Many districts and association groups settled for low salary increases for fiscal year 2018 in order to keep master contract language. Waterloo Community School District's action included salary increases only slightly lower than trends from prior years and moved the majority of contract language to an Employee Handbook. Future nonmandatory contract considerations will be addressed by District leadership and volunteer staff committees.

- Budget shortfalls usually mean staff reductions, but the District has made the decision to maintain all instructional positions to invest in student achievement goals. This resulted in some initial reduction of the fund balance in fiscal year 2013, but through budget planning, consistent enrollment and improved state funding, the fund balance has increased over 200% by 2019. In fiscal year 2021 the District received an increase of 2.30% and again invested in additional hours for teachers, higher average teacher salaries and higher starting wage. In contrast to staff reductions, the District has focused on staff retention and compensation to address the primary goal of student achievement.

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE (CONTINUED)

- In 2013, the District started a major initiative to identify, design and construct a 21st century high school system with career technical education (CTE) as a major component to meet the needs of the students, businesses and industries in the Cedar Valley. The District proceeded with initiating CTE program offerings in 2017 including Nursing/Health Careers and Digital Graphics. Available District funds were used for remodeling a portion of Central Middle School to house the Waterloo Career Center and expand in future years. Today, the district has implemented a total of 18 programs and the enrollment has increased greatly from 50 students in 2016-17 to over 1000 students in 2019-20. The Waterloo Career Center is also open to students from other districts and there are multiple sharing agreements in place with additional interest expected in the next few years. Waterloo is rapidly establishing the reputation of a state leader in Career Technical Education.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions or need additional financial information, contact Michael L. Coughlin, Chief Financial Officer, Waterloo Community School District, 1516 Washington Street, Waterloo, IA 50702.

BASIC FINANCIAL STATEMENTS

Waterloo Community School District
Statement of Net Position
June 30, 2021

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and investments	$ 95,331,772	$ 774,811	$ 96,106,583
Cash with fiscal agent	11,107	-	11,107
Receivables			
Property tax - delinquent	408,770	-	408,770
Property tax - succeeding year	39,413,649	-	39,413,649
Accounts receivable	50,156	-	50,156
Internal balances	(217,762)	217,762	-
Due from other governmental units	8,671,755	647,273	9,319,028
Inventory	229,621	22,642	252,263
Prepaid items	15,632	-	15,632
Capital assets, net of accumulated depreciation	156,304,016	310,005	156,614,021
Capital assets not being depreciated	21,446,287	-	21,446,287
Total assets	321,665,003	1,972,493	323,637,496
Deferred Outflows of Resources			
Deferred amount on refunding	2,254,380	-	2,254,380
Deferred outflows related to OPEB	938,995	23,325	962,320
Deferred outflows related to pensions	16,615,538	423,418	17,038,956
Total deferred outflows of resources	19,808,913	446,743	20,255,656
Total assets and deferred outflows of resources	$ 341,473,916	$ 2,419,236	$ 343,893,152
Liabilities			
Accounts and contracts payable	$ 3,817,859	$ 8,313	$ 3,826,172
Salaries and benefits payable	17,539,062	186,913	17,725,975
Interest payable	1,694,376	-	1,694,376
Due to other governmental units	1,112,914	-	1,112,914
Unearned revenue	-	33,378	33,378
Net bond principal payable			
Due within one year	36,367,000	-	36,367,000
Due in more than one year	55,348,127	-	55,348,127
Compensated absences payable			
Due within one year	438,268	-	438,268
Noncurrent liabilities due in more than one year			
Total OPEB liaility	12,225,233	303,680	12,528,913
Net pension liability	70,497,997	1,796,519	72,294,516
Total liabilities	199,040,836	2,328,803	201,369,639
Deferred Inflows of Resources			
Property tax levied for succeeding year	39,413,649	-	39,413,649
Deferred inflows related to OPEB	865,665	21,503	887,168
Deferred inflows related to pensions	2,420,094	61,672	2,481,766
Total deferred inflows of resources	42,699,408	83,175	42,782,583
Net Position			
Net investment in capital assets	98,605,122	310,005	98,915,127
Restricted for			
Categorical funding	793,868	-	793,868
Debt service	17,640,050	-	17,640,050
School infrastructure	16,678,807	-	16,678,807
Physical plant and equipment	3,722,702	-	3,722,702
Student activities	1,311,985	-	1,311,985
Management levy purposes	1,440,239	-	1,440,239
Unrestricted	(40,459,101)	(302,747)	(40,761,848)
Total net position	99,733,672	7,258	99,740,930
Total liabilities, deferred inflows of resources, and net position	$ 341,473,916	$ 2,419,236	$ 343,893,152

See notes to basic financial statements.

Waterloo Community School District
Statement of Activities
Year Ended June 30, 2021

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expenses), Revenue, and Changes in Net Position: Governmental Activities	Net (Expenses), Revenue, and Changes in Net Position: Business-Type Activities	Net (Expenses), Revenue, and Changes in Net Position: Total
Governmental activities							
Instruction							
Regular	$ 65,936,444	$ 415,413	$ 18,530,514	$ -	$ (46,990,517)	$ -	$ (46,990,517)
Special	32,290,424	421,891	7,254,703	-	(24,613,830)	-	(24,613,830)
Vocational	2,412,620	-	568,155	-	(1,844,465)	-	(1,844,465)
Other	2,242,126	608,172	234,019	-	(1,399,935)	-	(1,399,935)
Support Services							
Student	5,748,313	2,955	-	-	(5,745,358)	-	(5,745,358)
Instructional staff	6,267,665	2,890	3,703,940	-	(2,560,835)	-	(2,560,835)
General administration	3,104,695	-	-	-	(3,104,695)	-	(3,104,695)
School administration	8,271,876	-	-	-	(8,271,876)	-	(8,271,876)
Business and central administration	5,106,183	47,190	81,345	-	(4,977,648)	-	(4,977,648)
Operation and maintenance of plant	12,566,010	474,500	-	150	(12,091,360)	-	(12,091,360)
Transportation	4,353,077	-	884,527	-	(3,468,550)	-	(3,468,550)
Facilities acquisition	6,260,881	-	-	-	(6,260,881)	-	(6,260,881)
Noninstructional programs	1,112,247	-	-	-	(1,112,247)	-	(1,112,247)
Interest and fiscal charges	3,348,297	-	834,079	-	(2,514,218)	-	(2,514,218)
Unallocated depreciation	5,704,913	-	-	-	(5,704,913)	-	(5,704,913)
Total governmental activities	164,725,771	1,973,011	32,091,282	150	(130,661,328)	-	(130,661,328)
Business-type activities							
Nonistructional programs							
Food service operations	5,681,056	58,038	5,619,626	-	-	(3,392)	(3,392)
Total	$ 170,406,827	$ 2,031,049	$ 37,710,908	$ 150	(130,661,328)	(3,392)	(130,664,720)

	Governmental Activities	Business-Type Activities	Total
General revenues			
Taxes			
Property taxes, levied for general purposes	35,803,055	-	35,803,055
Property taxes, levied for management levy purposes	1,824,537	-	1,824,537
Property taxes, levied for capital outlay	3,124,785	-	3,124,785
Unrestricted statewide sales, services, and use tax	10,920,298	-	10,920,298
Unrestricted state and federal grants	84,754,808	-	84,754,808
Unrestricted investment earnings	578,995	2,498	581,493
Total general revenues	137,006,478	2,498	137,008,976
Change in net position	6,345,150	(894)	6,344,256
Net position - beginning	93,388,522	8,152	93,396,674
Net position - ending	$ 99,733,672	$ 7,258	$ 99,740,930

See notes to basic financial statements.

Waterloo Community School District
Balance Sheet - Governmental Funds
June 30, 2021

	General (10)	Debt Service (40)	Capital Projects	Nonmajor Funds	Total Governmental Funds
Assets					
Cash and investments	$ 41,919,667	$ 22,594,426	$ 28,004,097	$ 2,803,532	$ 95,321,722
Cash with fiscal agent	11,107	-	-	-	11,107
Receivables					
Property tax - delinquent	359,847	-	30,316	18,607	408,770
Property tax - succeeding year	34,483,954	-	3,129,695	1,800,000	39,413,649
Accounts receivable	19,025	-	28,309	-	47,334
Due from other governmental units	6,845,974	-	1,825,527	254	8,671,755
Inventory	217,561	-	-	-	217,561
Prepaid items	15,632	-	-	-	15,632
Total assets	$ 83,872,767	$ 22,594,426	$ 33,017,944	$ 4,622,393	$ 144,107,530
Liabilities					
Accounts and contracts payable	$ 1,401,618	$ -	$ 2,416,241	$ -	$ 3,817,859
Salaries and benefits payable	17,532,077	-	-	2,627	17,534,704
Due to other governmental units	1,096,836	-	14,933	1,145	1,112,914
Interfund payable	151,365	-	-	66,397	217,762
Total liabilities	20,181,896	-	2,431,174	70,169	22,683,239
Deferred inflows of resources					
Unavailable revenue - succeeding year property tax	34,483,954	-	3,129,695	1,800,000	39,413,649
Unavailable revenue - other	-	-	500,000	-	500,000
Total deferred inflows of resources	34,483,954	-	3,629,695	1,800,000	39,913,649
Fund Balances					
Nonspendable for					
Inventory	217,561	-	-	-	217,561
Prepaid items	15,632	-	-	-	15,632
Restricted for					
Categorical funding	793,868	-	-	-	793,868
Debt service	-	22,594,426	-	-	22,594,426
School infrastructure	-	-	23,234,373	-	23,234,373
Physical plant and equipment	-	-	3,722,702	-	3,722,702
Management levy purposes	-	-	-	1,440,239	1,440,239
Student activities	-	-	-	1,311,985	1,311,985
Assigned for					
Alternate health insurance plan	1,230,992	-	-	-	1,230,992
Unassigned	26,948,864	-	-	-	26,948,864
Total fund balances	29,206,917	22,594,426	26,957,075	2,752,224	81,510,642
Total liabilities, deferred inflows of resources, and fund balances	$ 83,872,767	$ 22,594,426	$ 33,017,944	$ 4,622,393	$ 144,107,530

See notes to basic financial statements.

Waterloo Community School District
Reconciliation of the Balance Sheet to
the Statement of Net Position - Governmental Funds
June 30, 2021

Total fund balances - governmental funds	$ 81,510,642
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not current financial resources and, therefore, are not reported as assets in governmental funds.	
Cost of capital assets	269,881,474
Less accumulated depreciation	(92,131,171)
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not reported as liabilities in the funds. Long-term liabilities at year-end consist of:	
Bond principal payable	(88,498,539)
Bond premiums	(3,216,588)
Compensated absences payable	(438,268)
Total OPEB liability	(12,225,233)
Net pension liability	(70,497,997)
Deferred outflows of resources and deferred inflows of resources are created as a result of various differences related to pensions, OPEB and long-term liabilities that are not recognized in the governmental funds.	
Deferred outflows related to pensions	16,615,538
Deferred inflows related to pensions	(2,420,094)
Deferred inflows related to OPEB	(865,665)
Deferred outflows related to OPEB	938,995
Deferred amount on refunding	2,254,380
Other long-term assets will be collected in subsequent years, and do not meet the revenue recognition requirements in the governmental funds.	500,000
An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position and interfund activity is removed.	20,574
Governmental funds do not report a liability for accrued interest on bonds until due and payable.	(1,694,376)
Total net position - governmental activities	$ 99,733,672

See notes to basic financial statements.

Waterloo Community School District
Statement of Revenues, Expenditures, and
Changes in Fund Balances - Governmental Fund
Year Ended June 30, 2021

	General (10)	Debt Service (40)	Capital Projects	Nonmajor Funds	Total Governmental Funds
Revenues					
Revenue from local sources					
Local property taxes	$ 35,803,055	$ -	$ 3,124,785	$ 1,824,537	$ 40,752,377
Tuition	645,405	-	-	-	645,405
Other local and county revenues	884,220	212,921	150,567	886,141	2,133,849
Revenue from state sources	91,669,413	-	10,942,917	61,496	102,673,826
Revenue from federal sources	23,575,420	-	834,079	-	24,409,499
Total revenues	152,577,513	212,921	15,052,348	2,772,174	170,614,956
Expenditures					
Current					
Instruction					
Regular	61,497,898	-	-	975,952	62,473,850
Special	25,905,326	-	-	16,483	25,921,809
Vocational	2,300,975	-	-	-	2,300,975
Other	1,387,307	-	-	753,018	2,140,325
Support services					
Student	5,613,624	-	-	9,521	5,623,145
Instructional staff	6,069,673	-	-	-	6,069,673
General administration	3,001,522	-	1,391	9,521	3,012,434
School administration	7,977,527	-	-	42,499	8,020,026
Business and central administration	4,365,886	-	202,297	43,339	4,611,522
Operation and maintenance of plant	11,126,534	-	137,982	710,276	11,974,792
Transportation	4,347,382	-	-	-	4,347,382
Noninstructional programs	1,079,605			22,353	1,101,958
AEA flowthrough	5,648,589	-	-	-	5,648,589
Facilities acquisition	-	-	2,298,396	-	2,298,396
Capital outlay	1,984,534	-	15,711,329	-	17,695,863
Debt service					
Principal	-	5,145,000	-	-	5,145,000
Interest and fiscal charges	-	2,369,691	238,906	-	2,608,597
Total expenditures	142,306,382	7,514,691	18,590,301	2,582,962	170,994,336
Excess of revenues over (under) expenditures	10,271,131	(7,301,770)	(3,537,953)	189,212	(379,380)
Other Financing Sources (Uses)					
Insurance recoveries	380,965	-	-	-	380,965
Bond premium	-	-	3,226,399	-	3,226,399
Bond proceeds	-	-	22,600,000	-	22,600,000
Transfers in	30,666	11,623,855	-	-	11,654,521
Transfers out	-	-	(11,623,855)	(30,666)	(11,654,521)
Total other financing sources (uses)	411,631	11,623,855	14,202,544	(30,666)	26,207,364
Net change in fund balances	10,682,762	4,322,085	10,664,591	158,546	25,827,984
Fund Balances					
Beginning of year	18,524,155	18,272,341	16,292,484	2,593,678	55,682,658
End of year	$ 29,206,917	$ 22,594,426	$ 26,957,075	$ 2,752,224	$ 81,510,642

See notes to basic financial statements.

Waterloo Community School District
Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances to the Statement of Activities - Governmental Funds
Year Ended June 30, 2021

Net change in fund balances - total governmental funds	$ 25,827,984
Amounts reported for governmental activities in the Statement of Activities are different because:	
Capital outlays are reported in governmental funds as expenditures. However, in the Statement of Activities, the cost of those assets is allocated over the useful lives as depreciation expense.	
Capital outlays	16,766,887
Depreciation expense	(6,115,294)
Disposal of capital assets	(5,179,355)
Compensated absences and severance are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities.	5,027
OPEB are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities.	(917,512)
Principal payments on long-term debt are recognized as expenditures in the governmental funds but have no effect on net position in the Statement of Activities.	5,145,000
The current year District employer share of IPERS contributions is reported as an expenditure in the governmental funds, but is reported as a deferred outflow of resources in the statement of net position.	7,674,997
Pension expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.	(10,384,552)
Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recognized as an expenditure in the funds when it is due and thus requires use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.	(481,162)
Governmental funds report the effect of bond premiums and deferred amounts when the debt is first issued, whereas these amounts are deferred and amortized in the Statement of Activities.	(258,538)
Proceeds and premiums from long-term debt are recognized as an other financing source, increasing fund balance in the governmental fund statements, but have no effect on net position in the Statement of Activities.	(25,826,399)
An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The change in net position is reported within the governmental activities in the Statement of Activities.	13,067
Long-term assets will be collected in subsequent years, but are not available soon enough to pay for the current period's expenditures and, therefore, are not recognized as revenues in the funds.	75,000
Change in net position - governmental activities	$ 6,345,150

See notes to basic financial statements.

Waterloo Community School District
Statement of Net Position - Proprietary Funds
June 30, 2021

	Business Type Activities	Governmental Activities
	Nonmajor Enterprise	Internal Service
	School Nutrition (61)	Print Shop (73)
Assets		
Current		
Cash and cash equivalents	$ 774,811	$ 10,050
Accounts receivable	-	2,822
Due from other governments	647,273	-
Interfund receivable	217,762	-
Inventory	22,642	12,060
Total current assets	1,662,488	24,932
Noncurrent		
Capital assets, net of accumulated depreciation	310,005	-
Total assets	1,972,493	24,932
Deferred Outflows of Resources		
Deferred outflows related to OPEB	23,325	-
Deferred outflows related to pensions	423,418	-
Total deferred outflows of resources	446,743	-
Total assets and deferred outflows of resources	$ 2,419,236	$ 24,932
Liabilities		
Current		
Accounts payable	$ 8,313	$ -
Salaries and benefits payable	186,913	4,358
Unearned revenue	33,378	-
Total current liabilities	228,604	4,358
Noncurrent		
Net pension liability	1,796,519	-
Total OPEB liability	303,680	-
Total liabilities	2,328,803	4,358
Deferred Inflows of Resources		
Deferred inflows related to OPEB	21,503	-
Deferred inflows related to pensions	61,672	-
Total deferred inflows of resources	83,175	-
Net Position		
Investment in Capital Assets	310,005	-
Unrestricted	(302,747)	20,574
Total net position	7,258	20,574
Total liabilities, deferred inflows of resources, and net position	$ 2,419,236	$ 24,932

See notes to financial statements.

Waterloo Community School District
Statement of Revenues, Expenses. and Changes
in Fund Net Position - Proprietary Funds
Year Ended June 30, 2021

	Business-Type Activities	Governmental Activities
	Nonmajor Enterprise	Internal Service
	School Nutrition (61)	Print Shop (73)
Operating revenues		
Local Sources		
Charges for services	$ 44,747	$ 207,700
Other receipts	13,291	-
Total revenue	58,038	207,700
Operating expenses		
Noninstructional programs		
Food service and print shop operations		
Salaries and benefits	1,997,404	114,426
Employee benefits	1,015,341	53,514
Purchased services	3,144	24,954
Supplies	2,547,193	1,739
Other	5,127	-
Depreciation	112,847	-
Total operating expenses	5,681,056	194,633
Operating income (loss)	(5,623,018)	13,067
Nonoperating revenues		
Federal sources	5,572,395	-
State sources	47,231	-
Investment income	2,498	-
Total nonoperating revenues	5,622,124	-
Change in net position	(894)	13,067
Net position		
Beginning of year	8,152	7,507
End of year	$ 7,258	$ 20,574

See notes to basic financial statements.

Waterloo Community School District
Statement of Cash Flows -
Proprietary Funds
Year Ended June 30, 2021

	Business Type Activities	Governmental Activities
	Nonmajor Enterprise	Internal Service
	School Nutrition (61)	Print Shop (73)
Cash Flows - Operating Activities		
Cash received from print shop services	$ -	$ 207,464
Cash received from sale of lunches and breakfast	41,301	-
Cash received from other	13,291	-
Payments to employees	(2,885,745)	(167,663)
Payments to suppliers	(2,169,579)	(29,751)
Net cash flows - operating activities	(5,000,732)	10,050
Cash Flows - Noncapital Financing Activities		
State grants received	47,231	-
Federal grants received	4,796,724	-
Repayment of interfund loans	(613,482)	-
Proceeds or repayment received from interfund loans	977,183	-
Net cash flows - noncapital financing activities	5,207,656	-
Cash Flows - Investment Activities		
Interest received	2,498	-
Net cash flows - investment activities	2,498	-
Net change in cash and cash equivalents	209,422	10,050
Cash and Cash Equivalents		
Beginning of year	565,389	-
End of year	$ 774,811	$ 10,050
Reconciliation of Operating Income (Loss) to Net Cash Flows - Operating Activities		
Operating income (loss)	$ (5,623,018)	$ 13,067
Adjustments to reconcile operating income (loss) to net cash flows - operating activities		
Commodities used	272,884	-
Depreciation	112,847	-
Accounts receivable	-	(236)
Inventory	104,688	(3,058)
Pension expense	97,887	-
OPEB expense	13,977	
Accounts payable	8,313	-
Salaries and benefits payable	15,136	277
Unearned revenue	(3,446)	-
Net adjustments	622,286	(3,017)
Net cash flows - operating activities	$ (5,000,732)	$ 10,050
Non-cash investing, capital and related financing activities		
During the year ended June 30, 2021 the District received federal commodities.	$ 272,884	$ -

Waterloo Community School District
Statement of Fiduciary Net Position
June 30, 2021

	Private Purpose Trust Fund	Custodial Fund
Assets		
Current		
Cash and investments	$ 9,449	$ 35,762
Liabilities		
Accounts payable	-	261
Total liabilities	-	261
Net Position		
Held in trust	$ 9,449	$ 35,501

Statement of Changes in Fiduciary Net Position
Year Ended June 30, 2021

	Private Purpose Trust Fund	Custodial Fund
Additions		
Contributions	$ 10,125	$ 18,540
Interest revenue	52	-
Total additions	10,177	18,540
Deductions		
Staff social committees	-	20,551
Scholarships	12,900	-
Total deductions	12,900	20,551
Change in net position	(2,723)	(2,011)
Net Position		
Beginning of year	12,172	-
Change in accounting principle (Note 17)	-	37,512
Beginning of year, as restated	12,172	37,512
End of year	$ 9,449	$ 35,501

See notes to basic financial statements.

(THIS PAGE LEFT BLANK INTENTIONALLY)

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Waterloo Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades pre-kindergarten through twelve. Additionally, the District also either operates or sponsors various adult education programs. These courses include remedial education as well as vocational and recreational courses. The geographic area served includes the Cities of Waterloo, Evansdale, Elk Run Heights, Raymond, Gilbertville and a portion of Cedar Falls, Iowa, and the surrounding predominate agricultural territory in Black Hawk County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's basic financial statements are prepared in conformity with accounting principles generally accepted in the United States as prescribed by the Governmental Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Waterloo Community School District has included all funds, organizations, agencies, boards, commissions, and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's basic financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District. The District has no material component units which meet the Governmental Accounting Standards Board criteria.

B. Jointly Governed Organizations

The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Black Hawk County Assessor's Conference Board.

C. Basic Financial Statement Information

The Statement of Net Position and the Statement of Activities report information on all the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. There was no material interfund service provided and used not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenue, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in the categories on following page.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

C. Basic Financial Statement Information (Continued)

Net investment in capital assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction or improvement of those assets. This balance also has an adjustment for $3,260,000 for unspent bond proceeds required to be held in reserves.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenue. Direct expenses are those that are clearly identifiable with a specific function. Program revenue includes: (1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and (2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenue are reported instead as general revenue.

Depreciation expense that can be specifically identified by function is included in the direct expenses of that function. Depreciation expense relative to assets that serve multiple functions is presented as unallocated depreciation in the Statement of Activities. Interest on general long-term debt is considered an indirect expense and is reported separately in the Statement of Activities. The effect of interfund activity has been removed from these statements.

Separate fund financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though fiduciary funds are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The trust and custodial funds are presented in the fiduciary fund financial statements. Since by definition these assets are being held for the benefit of a third party (other local governments, private parties, etc.) and cannot be used to address activities or obligations of the District, these funds are not incorporated into the government-wide statements.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting

The accounting and financial reporting treatment applied is determined by its measurement focus and basis of accounting. The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied. The trust and custodial funds are custodial in nature and have no measurement focus: however, they use the accrual basis of accounting.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenue is recognized when it becomes measurable and available. Revenue is considered to be available when it is collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if it is collected within 60 days after year end.

Property tax, intergovernmental revenue (shared revenue, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgements, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenue. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy and procedure to first apply cost-reimbursement grant sources to such programs, and then general revenue.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy and procedure is generally to first apply the expenditure toward restricted fund balance and then to less-restrictive classifications – committed, assigned, and then unassigned fund balances.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting (Continued)
Proprietary funds distinguish operating revenue and expenses from nonoperating items. Operating revenue and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the District's Enterprise Fund is charges to customers for sales and services. Operating expenses for the Enterprise Fund include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenue and expenses not meeting this definition are reported as nonoperating revenue and expenses.

The District maintains its financial records on the cash basis. The basic financial statements of the District are prepared by making memorandum adjusting entries to the cash basis financial records.

Description of Funds:

Major Governmental Funds:

General Fund – This fund is the general operating fund of the District. All general tax revenue and other revenue not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support, and other costs.

Debt Service Fund – This fund is utilized to account for property tax and other revenue to be used for the payment of interest and principal on the District's general long-term debt.

Capital Projects Fund – This fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

Nonmajor Proprietary Funds:

School Nutrition Enterprise Fund – This fund is used to account for the food service operations of the District.

Print Shop Internal Service Fund – This fund is utilized to account for printing services provided by the District.

The District also reports fiduciary funds which focus on net position and changes in net position.

Fiduciary Funds:

Private Purpose Trust Fund – This fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting (Continued)

Fiduciary Funds (Continued):

Custodial Fund – This fund is used to account for assets held by the District as a custodian for individuals and committees within the District for various designated purposes. The Custodial Fund handles activity related to staff social committees.

E. Cash, Cash Equivalents, and Investments

The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust, and the Goldman Sachs Financial Square Fund which are valued at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the day of purchase, they have a maturity date no longer than three months.

F. Property Tax Receivable

Property tax in the governmental funds is accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1-1/2% per month penalty for delinquent payments; is based on January 1, 2019, assessed property valuations; is for the tax accrual period July 1, 2020 through June 30, 2021; and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2020.

G. Due from Other Governments

Due from other governments represents primarily amounts due from the State of Iowa, also included are amounts due for various shared revenue, grants, and reimbursements from other governments.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

H. Inventories

Inventories are valued at cost using the first-in, first-out (FIFO) method for purchased items and contributed value for government commodities. Inventories are recorded as expenses when consumed rather than when purchased or received in the government-wide financial statements and proprietary fund financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold.

I. Prepaid Items

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements using the consumption method.

J. Capital Assets

Capital assets, which include property, furniture and equipment are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend asset useful lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Land	$	5,000
Buildings and improvements		5,000
Improvements other than buildings		5,000
Furniture and equipment		
School Nutrition Fund equipment		500
Other furniture and equipment		5,000

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Buildings and improvements	7-50 Years
Improvements other than buildings	20-30 Years
Furniture and equipment	5-25 Years

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

K. Deferred Outflows of Resources

Deferred outflows of resources represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, contributions from the District after the measurement date but before the end of the District's reporting period and the deferred amount on refunding bonds resulting from the difference in the carrying value of refunded debt and the reacquisition price. Deferred outflows of resources related to OPEB are recorded on the Statements of Net Position for various estimate differences that will be amortized and recognized over future years.

L. Salaries and Benefits Payable

Payroll and related expenditures for employees with annual contracts corresponding to a current school year, which are payable in July and August have been accrued as liabilities.

M. Compensated Absences

District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees that have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2021. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund. The District chooses to classify all vacation payable as due within one year since they believe all vacation carried over will be used in the subsequent year.

N. Long-Term Obligations

In the government-wide financial statements, long-term debt, and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. Bond premiums are amortized over the life of the bonds using the straight-line method. Refunding of debt may result in deferred gains or losses and are reported as deferred inflows and outflows of resources. The difference between the reacquisition price and the net carrying amount of the old debt is deferred and amortized as a component of long-term debt interest and fiscal charges using the straight-line method.

In the fund financial statements, governmental fund types recognize bond premiums, and bond issuance costs during the current period. The face amount of debt issued is reported as another financing source. Premiums received on debt issuances are reported as other financing sources. Issuance costs, whether or not withheld or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

O. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund and the School Nutrition Enterprise Fund.

P. Total OPEB Liability

For purposes of measuring the total OPEB liability, deferred outflows and deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the School Nutrition Enterprise Fund.

Q. Deferred Inflows of Resources

Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. Although certain revenue is measurable, it is not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements consist of property taxes receivable and other receivables not collected within 60 days after year end.

Deferred inflows of resources in the statement of net positions consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension expense and amounts related to OPEB for various estimate differences that will be amortized and recognized over future years.

R. Fund Balances

In the governmental fund financial statements, fund balances are classified as follows:

- Nonspendable – Amounts that cannot be spent because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

- Restricted – Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, granters, or state or federal laws or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted fund balance.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

R. Fund Balances (Continued)

- Assigned – Amounts the Board of Education intends to use for specific purposes. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Superintendent.

- Unassigned – All amounts not included in the preceding classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. A negative unassigned fund balance may be reported in other governmental funds if expenditures incurred for specific purposes exceeded the amounts restricted, committed or assigned to those purposes.

S. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as required supplementary information. During the year ended June 30, 2021, expenditures/expenses did not exceed the amounts budgeted and the District did not exceed its General Fund unspent authorized budget.

T. Estimates and Assumptions

The preparation of basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities, deferred inflows of resources, and disclosure of contingent assets and liabilities at the date of the basic financial statements and the reported amounts of revenue and expenditures/expenses during the reporting period. Actual results could differ from those estimates.

NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS

The District is authorized by statute to invest public funds in obligations of the United States Government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high-rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvements certificates of a drainage district.

As of June 30, 2021, the District had the following nonpooled investments:

Investment	Fair Value	Maturity
U.S. Treasury Notes	$ 8,301,542	July, 1, 2025
U.S. Treasury Bonds	1,208,258	May 15, 2025
Goldman Sachs Financial Square Fund	6,694,766	
Total	$ 16,204,566	

NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)

In addition, the District had $196,998 of pooled investments in ISJIT Diversified Portfolio at June 30, 2021**.**

The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets. Level 2 inputs are significant other observable inputs. Level 3 inputs are significant unobservable inputs.

The recurring fair value measurement for the U.S. Treasury Notes and Bonds of $9,509,800 was determined using the last reported sales price at current exchange rates (Level 1 inputs).

As of June 30, 2021, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Portfolio which are valued at an amortized cost of $196,998. The Goldman Sachs Financial Square Fund is also measured at amortized cost. There were no limitations or restrictions on withdrawals of these investments.

A. Interest Rate Risk

The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but the maturities shall be consistent with the needs and use of the District.

B. Credit Risk

The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market, and checking accounts in the District's authorized depositories; the Iowa Schools Joint Investment Trust; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The Iowa Schools Joint Investment Trust and the Goldman Sachs Financial Square Fund were rated AAAm by Standard & Poor's Financial Services. The District's policy does not further limit the District's investments in relation to credit risk.

C. Concentration of Credit Risk

The District's general investment policy is to apply the prudent-person rule: in making investments, the District shall exercise the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investments in the Iowa Schools Joint Investment Trust, the Goldman Sachs Financial Square Fund and U.S. Treasury Notes and Bonds are not subject to concentration of credit risk.

D. Custodial Credit Risk

For deposits, custodial credit risk is the risk that in an event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District does not have a formal policy for custodial credit risk.

NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)

D. Custodial Credit Risk (Continued)

The District's deposits in banks as of June 30, 2021, were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to insure there will be no loss of public funds.

E. Deposits and Investments

Summary of cash, deposits, and investments as of June 30, 2021:

District Governmental Funds	
Deposits - pooled	$ 47,091,337
Deposits - non-pooled	32,650,538
Investments - pooled	196,998
Investments - non-pooled	16,204,566
Cash with fiscal agent	11,107
Petty cash	8,355
Total deposits and investments	$ 96,359,899

Cash, deposits and investments are presented in the June 30, 2021, basic financial statements as follows:

Statement of Net Position	
Cash and investments	$ 96,106,583
Cash with fiscal agent	11,107
Statement of Fiduciary Net Position	
Private Purpose Trust Fund	9,449
Custodial Fund	35,762
Total	$ 96,162,901

NOTE 3 – DUE TO AND DUE FROM OTHER FUNDS

Receivable Fund	Payable Fund	Amount
Enterprise		
School nutrition	General	$ 151,365
	Nonmajor Special revenue	
	Student activity	66,397
Total		$ 217,762

NOTE 3 – DUE TO AND DUE FROM OTHER FUNDS (CONTINUED)

The General and Student Activity Special Revenue Fund, are repaying the School Nutrition Enterprise Fund for various expenses not reimbursed before year end. The balances are to be repaid by June 30, 2022.

NOTE 4 – INTERFUND TRANSFERS

The detail of the interfund transfers for the year ended June 30, 2021, is as follows:

Transfer to	Transfer From	Amount
Debt service	Capital projects	$ 11,623,855
General	Nonmajor - special revenue management levy	30,666
Total		$ 11,654,521

Transfers are used to (1) move revenue from the fund that statute or budget requires to collect the resources to the fund that statute or budget requires to expend the resources or (2) use unrestricted revenue collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization.

NOTE 5 – CAPITAL ASSETS

Capital assets activity for the year ended June 30, 2021, was as follows:

	Balance – Beginning of Year	Increases	Decreases	Balance – End of Year
Governmental Activities				
Capital assets not being depreciated				
Land	$ 3,441,332	$ -	$ -	$ 3,441,332
Construction in progress	2,556,710	16,536,561	1,088,316	18,004,955
Total capital assets not being depreciated	5,998,042	16,536,561	1,088,316	21,446,287
Capital assets being depreciated				
Buildings and improvements	229,822,455	102,192	7,631,014	222,293,633
Improvements other than buildings	10,993,790	626,552	-	11,620,342
Furniture and equipment	14,104,494	589,898	173,180	14,521,212
Total capital assets being depreciated	254,920,739	1,318,642	7,804,194	248,435,187
Less accumulated depreciation for				
Buildings and improvements	72,310,420	5,089,767	2,451,659	74,948,528
Improvements other than buildings	5,472,769	461,934	-	5,934,703
Furniture and equipment	10,857,527	563,593	173,180	11,247,940
Total accumulated depreciation	88,640,716	6,115,294	2,624,839	92,131,171
Total capital assets being depreciated, net	166,280,023	(4,796,652)	5,179,355	156,304,016
Governmental activities capital assets, net	$ 172,278,065	$ 11,739,909	$ 6,267,671	$ 177,750,303
Business-Type Activities				
Furniture and equipment	$ 3,601,987	$ -	$ -	$ 3,601,987
Less accumulated depreciation	3,179,135	112,847	-	3,291,982
Business-type activities capital assets, net	$ 422,852	$ (112,847)	$ -	$ 310,005

NOTE 5 – CAPITAL ASSETS (CONTINUED)

Depreciation expense was charged to the following functions:

Governmental Activities	
Instruction	
Regular	$ 34,206
Vocational	34,185
Other	47,876
Support Services	
General administration	2,004
School administration	877
Business and central administration	63,635
Operation and maintenance of plant	222,598
Transportation	5,000
Unallocated	5,704,913
Total depreciation expense - governmental activities	$ 6,115,294
Business-Type Activities	
Food service operations	$ 112,847

NOTE 6 – LONG-TERM LIABILITIES

Changes in long-term liabilities for the year ended June 30, 2021, are summarized as follows:

	Balance - Beginning of Year	Additions	Reductions	Balance - End of Year	Due Within One Year
Governmental Activities					
Revenue bonds	$ 71,043,539	$ 22,600,000	$ 5,145,000	$ 88,498,539	$ 36,367,000
Unamortized premium on bonds payable	53,705	3,226,399	63,516	3,216,588	-
Compensated absences	443,295	1,055,431	1,060,458	438,268	438,268
Total	$ 71,540,539	$ 26,881,830	$ 6,268,974	$ 92,153,395	$ 36,805,268

NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)

Revenue Bonds

Details of the District's June 30, 2021, statewide sales, services and use tax revenue (and refunding) bonded indebtedness are as follows:

	Bonds Issued April 26, 2011 - Series B Original Issue Amount - $16,379,539					Bonds Issued April 22, 2013 Original Issue Amount - $10,000,000		
Year Ending June 30,	Interest Rate	Principal	Interest	Credit	Interest Net of Credit	Interest Rate	Principal	Interest
2022	5.85%	$ -	$ 958,203	$ (884,495)	$ 73,708	2.00%	$ 3,140,000	$ 55,163
2023	5.85%	-	958,203	(884,495)	73,708	2.00%	-	-
2024	5.85%	-	958,203	(884,495)	73,708	2.00%	-	-
2025	5.85%	-	958,203	(884,495)	73,708	2.00%	-	-
2026	5.85%	16,379,539	479,102	(442,248)	36,854	2.00-2.25%	-	-
Total		$ 16,379,539	$ 4,311,914	$ (3,980,228)	$ 331,686		$ 3,140,000	$ 55,163

	Bonds Issued January 13, 2017 Original Issue Amount - $43,045,000			Bonds Issued March 1, 2018 Original Issue Amount - $16,667,000		
Year Ending June 30,	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2022	2.65%	$ 31,862,000	$ 805,202	2.93%	$ 565,000	$ 417,071
2023	2.65%	-	-	2.93%	615,000	399,784
2024	2.65%	-	-	2.93%	520,000	383,156
2025	2.65%	-	-	2.93%	1,720,000	350,340
2026	2.65%	-	-	2.93%	2,290,000	291,594
2027-2031	2.65%	-	-	2.93%	8,807,000	498,231
2032-2036	2.65%	-	-	2.93%	-	-
Total		$ 31,862,000	$ 805,202		$ 14,517,000	$ 2,340,176

	Bonds Issued October 20, 2020 Original Issue Amount - $22,600,000			Total		
Year Ending June 30,	Interest Rate	Principal	Interest	Principal	Interest Net of Credit	Total
2022	4.00%	$ 800,000	$ 927,621	$ 36,367,000	$ 2,278,765	$ 38,645,765
2023	4.00%	900,000	741,850	1,515,000	1,215,342	2,730,342
2024	4.00%	370,000	716,450	890,000	1,173,314	2,063,314
2025	4.00%	450,000	700,050	2,170,000	1,124,098	3,294,098
2026	4.00%	450,000	682,050	19,119,539	1,010,498	20,130,037
2027-2031	3.00%-4.00%	13,465,000	2,877,200	22,272,000	3,375,431	25,647,431
2032-2036	3.00%	6,165,000	242,475	6,165,000	242,475	6,407,475
	Total	$ 22,600,000	$ 6,887,696	$ 88,498,539	$ 10,419,923	$ 98,918,462

NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)

Revenue Bonds (Continued)

The District has pledged future statewide sales, services and use tax revenue to repay the $69,734,600 of bonds issued in April 2013, January 2017, March 2018 and October 2020. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition, construction, reconstruction, remodeling, and refurbishing certain District facilities, refunding certain District outstanding statewide sales, services and use tax revenue bonds and paying the costs of issuing the bonds. The bonds are payable solely from proceeds of the statewide sales, services, and use tax revenue received by the District. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest remaining to be paid on the bonds is $82,207,237. For the current year, principal of $5,145,000 and interest of $1,401,687 was paid on the bonds.

The District has also pledged future statewide sales, services, and use tax revenue to repay the $16,379,539 of qualified school construction bonds Series B (direct pay) issued in April 2011. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition and construction of a new elementary school. The bonds are payable solely from proceeds of the statewide sales, services and use tax revenue received by the District and mature July 1, 2025. The bonds have an interest rate of 5.85% but the District is entitled to a credit from the federal government at a rate of 5.4% (Build America Bonds). The District must remit interest net of any credits received to the bondholder semi-annually. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest net of credits remaining to be paid on the bonds is $16,711,225. For the current year, no principal and interest net of credit of $73,708 was paid on the bonds.

Annual principal and interest payments on all outstanding bonds are expected to require nearly 53% of the statewide sales, services, and use tax revenue. For the current year, total statewide sales, services, and use tax revenue was $10,845,298.

The resolutions providing for the issuance of the statewide, sales, services, and use tax revenue (and refunding) bonds include the following provisions:

a. The proceeds from the issuance of the bonds be used to pay off any remaining principal and interest due on the 2011 Series A bonds (2017 Series only).
b. 10% of the proceeds from the issuance of the revenue bonds (Series 2013 only) shall be deposited to a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. The balance of the proceeds shall be deposited to the project account.
c. All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
d. Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
e. Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)

Revenue Bonds (Continued)
The District complied with all of the revenue bond provisions during the year ended June 30, 2021.

The District did not exceed its legal debt margin as of June 30, 2021, as follows:

Total Assessed Valuation	$ 4,768,622,033
Debt limit (5% of total assessed valuation)	$ 238,431,102
Amount of debt applicable to debt limit (total bonded debt)	(88,498,539)
Excess of debt limit over bonded debt outstanding (legal debt margin)	$ 149,932,563

NOTE 7 – PENSION AND RETIREMENT BENEFITS

A. Plan Description
IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple-employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at PO Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

B. Pension Benefits
A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five- year average salary.

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

B. Pension Benefits (Continued)

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

C. Disability and Death Benefits

A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

D. Contributions

Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to one percentage point. IPERS' Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2021, pursuant to the required rate, regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2021, were $7,870,560.

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2021, the District reported a liability of $72,294,516 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2020, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. As of June 30, 2020, the District's proportion was 1.0364% which was an increase of 0.001% from its proportion measured as of June 30, 2019.

For the year ended June 30, 2021, the District recognized pension expense of $10,294,613. As of June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	$ 79,865	$ 1,713,564
Changes of assumptions	3,710,854	-
Net difference between projected and actual earnings on IPERS investments	4,064,101	-
Changes in proportion and differences between District contributions and proportionate chare of contributions	1,313,576	768,202
District contributions subsequent to the measurement date	7,870,560	-
Total	$ 17,038,956	$ 2,481,766

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (Continued)

$7,870,560 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30,	
2022	$ 765,545
2023	1,666,869
2024	1,749,802
2025	2,521,688
2026	(17,274)
Total	$ 6,686,630

There were no nonemployer contributing entities to IPERS.

F. Actuarial Assumptions

The total pension liability in the June 30, 2020, actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.6% per annum.
Salary increases (effective June 30, 2017)	3.25% to 16.25%, average, including inflation. Rates vary by membership group.
Long-term Investment rate of return (effective June 30, 2017)	7.0% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.6% inflation assumption and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2020, valuation were based on the results of actuarial experience study dated March 24, 2017, and a demographic assumption study dated June 28, 2018.

Mortality rates used in the 2020 valuation were based on the RP-2014 Employee and Health Annuitant Tables with MP-2017 generational adjustments.

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

F. Actuarial Assumptions

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense, and inflation) are developed for each major asset class. These ranges are combined to produce the long- term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0 %	4.43 %
International equity	17.5	5.15
Global smart beta equity	6.0	4.87
Core plus fixed income	28.0	-0.29
Public credit	4.0	2.29
Cash	1.0	-0.78
Private equity	11.0	6.54
Private real assets	7.5	4.48
Private credit	3.0	3.11
Total	100 %	

G. Discount Rate

The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long- term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

H. Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate.

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

H. Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate (Continued)

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	$ 120,545,005	$ 72,294,516	$ 31,837,219

I. Pension Plan Fiduciary Net Position

Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

J. Payables to the Pension Plan

As of June 30, 2021, the District reported payables to the defined benefit pension plan of $1,678,049 for legally required employer contributions and $1,118,107 for legally required employee contributions withheld from employee wages but not yet remitted to IPERS.

NOTE 8 – CONTINGENT LIABILITY FOR SICK LEAVE TIME

District employees accumulate sick leave hours for subsequent use. These accumulations do not vest and therefore are not recognized as liabilities of the District until used by employees. The District's contingent liability for employee sick leave as of June 30, 2021, was approximately $16,100,000.

NOTE 9 – RISK MANAGEMENT

The District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There were no significant reductions in insurance coverage from the prior year.

NOTE 10 – AREA EDUCATION AGENCY SUPPORT

The District is required by the Code of Iowa to budget for its share of special education support, media, and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled $5,648,589 for the year ended June 30, 2021, and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

NOTE 11 – EARLY RETIREMENT PLAN

The District offers a voluntary early retirement plan to its administrative support staff and administrators. The application for early retirement is subject to approval by the Board of Education.

NOTE 11 – EARLY RETIREMENT PLAN (CONTINUED)

The District provides a one-time supplemental benefit payment for administrative support staff and administrators. The District offers the plan on an annual basis. To be eligible for the benefit, the administrative support staff or administrator must have attained age 55 by September 1, have completed 13 years of service with the District and have submitted application for retirement by March 31. In addition, for administrators to qualify, at least ten of the years of service must have been as an administrator. Benefits are computed as 30% of salary based on age at retirement. The administrative support staff and administrators are also eligible to continue participation in the District's group health insurance program to age 65, as described in Note 13.

As of June 30, 2021, three employees requested early retirement under the fiscal year 2021 incentive. The District had no remaining obligation for this incentive as the one-time payment was made during the year.

Early retirement expenditures for the year ended June 30, 2021, totaled $47,193.

The early retirement plan liability is liquidated by the Management Fund, a nonmajor governmental fund.

NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB)

A. Plan Description

The District provides a single-employer defined benefit health care plan to employee retirees and their spouses. The plan offers medical/prescription drug and dental coverage. Medical coverage is administered by Wellmark. The dental coverage is administered by Delta Dental. It is the District's policy to periodically review its coverage, and to obtain requests for proposals in order to provide the most favorable benefits and premiums for District employees and retirees. No assets are accumulated in a trust.

B. Benefit Provided

The District provides post employment retirement benefits to pay health, dental, and life insurance premiums for certain retired District personnel. Benefits are paid on behalf of retired administrative personnel to Medicare eligibility and other qualified staff to Medicare eligibility at which time benefits cease.

C. Members

As of April 1, 2020, the following were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	45
Active employees	1,664
Total	1,709

NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

D. Contributions

Retirees under age 65 contribute to the health care plan at the same rate as District employees. This results in the retirees receiving an implicit rate subsidy. Contribution requirements are established by the District, based on the contract terms with Wellmark. The required contributions are based on projected pay-as-you-go financing requirements. For the year 2021, the District contributed $473,960 to the plan.

E. Actuarial Assumptions

The total OPEB liability was determined by an actuarial valuation as of June 30, 2020, using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

Key Methods and Assumptions Used in Valuation of Total OPEB Liability	
Discount rate	2.16%
Salary increases	3.50%
Inflation	3.00%
Healthcare cost trend increases	7.0% in 2020 grading to 4.50% over five years
Mortality Assumption	Pub-2010 mortality table with generational scale MP-2019

The actuarial assumptions used in the June 30, 2020, valuation were based on the results of an actuarial experience study for the period July 1, 2019 – June 30, 2020.

The discount rate used to measure the total OPEB liability was 2.16% based on the 20-year municipal bond yield.

Changes in assumptions since the prior valuation are as follows.

- The discount rate was updated from 2.21% to 2.16%
- The retirement and withdrawal rates were updates to the rates from the Iowa Public Employee's Retirement System (IPERS) Actuarial Report as of June 30, 2019.
- The mortality assumption was updates from RP-2014 mortality table with generational scale MP-2018 to Pub-2010 mortality table with generational scale MP-2019 to reflect the Society of Actuaries' recent mortality study.
- The Excise Tax (Cadillac Tax on high cost employer sponsored health plans) assumptions are removed from the valuation to reflect the recent Excise Tax repeal in December 2019.

NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

F. Total OPEB Liability

The District's total OPEB liability of $12,528,913 was measured as of June 30, 2021, and was determined by an actuarial analysis as of that date.

	Total OPEB Liability (a)
Balances at July 1, 2020	$ 11,549,141
Changes for the year	
Service cost	1,124,736
Interest	274,855
Assumption changes	54,141
Benefit payments	(473,960)
Net changes	979,772
Balances at June 30, 2021	$ 12,528,913

G. OPEB Liability Sensitivity

The following presents the District's net OPEB liability calculated using the discount rate of 2.16% as well as the liability measured using 1% lower and 1% higher than the current discount rate.

	1% decrease in Discount Rate (1.16%)	Current Discount Rate (2.16%)	1% increase in Discount Rate (3.16%)
Net OPEB liability	$ 13,662,000	$ 12,528,913	$ 11,490,000

The following presents the net OPEB liability of the District, as well as what the District's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower and 1% higher than the current healthcare cost trend rates. The decrease in healthcare cost trend rates is over five years.

	1% decrease (6.0% decreasing to 3.5%)	Current (7.0% decreasing to 4.5%)	1% increase (8.0% decreasing to 5.5%)
Net OPEB liability	$ 10,907,000	$ 12,528,913	$ 14,499,000

NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

H. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2021, the District recognized OPEB expense of $1,405,449. At June 30, 2021, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Changes of assumptions	$ 319,099	$ 887,168
Differences between expected and actual economic experience	643,221	-
Total	$ 962,320	$ 887,168

Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

Year Ending June 30,	Total
2022	$ 5,858
2023	5,858
2024	5,858
2025	5,858
2026	5,858
Thereafter	45,862
Total	$ 75,152

NOTE 13 – CATEGORICAL FUNDING

In accordance with Iowa Administrate Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year mist be carried forward as a restricted fund balance.

NOTE 13 – CATEGORICAL FUNDING (CONTINUED)

The District's restricted fund balance for categorical funding as of June 30, 2021 is comprised of the following programs:

Educator quality, professional development	$ 697,464
Early literacy	49,146
Textbook aid for nonpublic students	47,258
Total	$ 793,868

NOTE 14 – COMMITMENTS

The District has entered into agreements with various companies for nursing and operation of the District's student transportation services. Terms of the agreements range from one to five years, and all agreements contain provisions for renewal.

The District has entered into various contracts for several projects which are primarily being funded by the statewide sales, services and use tax. The projects primarily include the construction of a new Lowell Elementary School. As of June 30, 2021, the remaining commitment on these contracts was $7,647,547 and will be paid as work on the projects progress.

NOTE 15 – TAX ABATEMENTS

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenue that results from an agreement between one or more governments and an individual entity in which (a) one or more governments promise to forgo tax revenue to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities
Property tax revenue of the District were reduced by the following amounts for the year ended June 30, 2021, under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Waterloo	Urban Renewal and Economic Development Projects	$ 833,658

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times $5.40 per $1,000 of taxable valuation. For the year ended June 30, 2021, the District received $263,894 in reimbursements.

NOTE 16 – SUBSEQUENT EVENT

On July 8, 2021, the District issued $30,281,000 of School Infrastructure Sales, Services, and Use Tax Revenue Refunding Bonds, Series 2021. The proceeds will be used to refund various previous bond issuances. Amounts due within one year have been updated to reflect the impact of this refunding.

NOTE 17 – CHANGE IN ACCOUNTING PRINCIPLE

For the year ended June 30, 2021, the District implemented GASB Statement No. 84, *Fiduciary Activities.* As a result, the District converted the agency fund to a custodial fund and had a beginning fund balance of $37,512 which is shown as a change in accounting principle.

NOTE 18 – GASB STANDARDS ISSUED BUT NOT YET IMPLEMENTED

GASB Statement No. 87, Leases establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities. This statement will be effective for the year ending June 30, 2022.

REQUIRED SUPPLEMENTARY INFORMATION

Waterloo Community School District
Schedule of Budgetary Comparison of Revenue,
Expenditures/Expenses and Changes in Balances
Budget to Actual - All Governmental Funds and Proprietary Fund
Year Ended June 30, 2021

	Budgeted Amounts	Actual		Variance with
	Original and Final	Governmental Funds	Proprietary Fund	Final Budget - Over (Under)
Revenues				
Local sources	$ 45,914,787	$ 43,531,631	$ 60,536	$ (2,322,620)
State sources	103,117,923	102,673,826	47,231	(396,866)
Federal sources	19,345,465	24,409,499	5,572,395	10,636,429
Total revenues	168,378,175	170,614,956	5,680,162	7,916,943
Expenditures				
Instruction	97,751,088	92,836,959	-	(4,914,129)
Support services	49,094,070	43,658,974	-	(5,435,096)
Noninstructional programs	7,761,253	1,101,958	5,681,056	(978,239)
Other expenditures	46,533,589	33,396,445	-	(13,137,144)
Total expenditures	201,140,000	170,994,336	5,681,056	(24,464,608)
Excess of revenues over (under) expenditures	(32,761,825)	(379,380)	(894)	32,381,551
Other Financing Sources (Uses) (Net)	37,058,345	26,207,364	-	(10,850,981)
Net change in fund balance	$ 4,296,520	$ 25,827,984	$ (894)	$ 21,530,570
Fund Balance				
Beginning of year		55,682,658	8,152	
End of year		$ 81,510,642	$ 7,258	

See notes to basic financial statements.

Waterloo Community School District
Notes to the Required Supplementary Information-
Budgetary Reporting

This budgetary comparison is presented as required supplementary information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District did not amend the budget.

During the year ended June 30, 2021, expenditures did not exceed the District's budget.

Waterloo Community School District
Schedule of District's Proportionate Share
of the Net Pension Liability
Iowa Public Employees' Retirement System
Last Ten Years

Measurement Date	District's Proportion of the Net Pension Liability (Asset)	District's Proportionate Share of the Net Pension Liability (Asset)	District's Covered Employee Payroll	District's Proportionate Share of the Net Pension Liability (Asset) as a Percentage of its Covered Payroll	Plan Fiduciary Net Position as a Percentage of the Total Pension Liability
2014	1.0759%	$ 43,542,944	$ 75,554,558	57.63%	87.6%
2015	1.0904%	53,871,608	74,825,218	72.00%	85.2%
2016	1.0419%	65,571,852	74,212,184	88.36%	81.8%
2017	0.9930%	66,143,267	74,119,194	89.24%	82.2%
2018	1.0010%	63,323,073	71,144,460	89.01%	83.6%
2019	1.0354%	60,359,576	79,327,638	76.09%	85.5%
2020	1.0364%	72,294,516	81,674,799	88.52%	82.9%

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

See notes to required supplementary information.

Waterloo Community School District
Schedule of District Contributions
Iowa Public Employees' Retirement System
Last Ten Years

Fiscal Year Ending June 30,	Statutorily Required Contribution	Contributions in Relation to the Statutorily Required Contributions	Contribution Deficiency (Excess)	District's Covered Employee Payroll	Contributions as a Percentage of Covered Payroll
2011	$ 5,538,069	$ 5,538,069	$ -	$ 68,710,533	8.06%
2012	6,146,168	6,146,168	-	70,890,058	8.67%
2013	6,410,808	6,410,808	-	71,789,563	8.93%
2014	6,747,022	6,747,022	-	75,554,558	8.93%
2015	6,681,892	6,681,892	-	74,825,218	8.93%
2016	6,627,148	6,627,148	-	74,212,184	8.93%
2017	6,618,844	6,618,844	-	74,119,194	8.93%
2018	6,716,037	6,716,037	-	71,144,460	9.44%
2019	7,488,529	7,488,529	-	79,327,638	9.44%
2020	7,710,101	7,710,101	-	81,674,799	9.44%
2021	7,870,560	7,870,560	-	83,374,576	9.44%

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

See notes to required supplementary information.

Waterloo Community School District
Notes to the Required Supplementary Information-
Pension Liability

Changes of Benefit Terms
There are no significant changes in benefit terms.

Changes of Assumptions
The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.0%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the unfunded actuarial liability (UAL) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

Waterloo Community School District
Schedule of Changes in Total OPEB Liability,
Related Ratios and Notes

	June 30, 2018	June 30, 2019	June 30, 2020	June 30, 2021
Total OPEB Liability				
Service cost	$ 854,462	$ 887,530	$ 975,041	$ 1,124,736
Interest	367,941	390,720	398,838	274,855
Differenced between expected and actual experience	-	-	725,076	-
Changes of assumptions	(245,425)	344,486	(805,296)	54,141
Benefit payments	(350,303)	(492,265)	(329,710)	(473,960)
Net change in total OPEB liability	626,675	1,130,471	963,949	979,772
Beginning of year	8,828,046	9,454,721	10,585,192	11,549,141
End of year	$ 9,454,721	$ 10,585,192	$ 11,549,141	$ 12,528,913
Covered employeepayroll	$ 73,393,083	$ 78,580,915	$ 75,646,535	$ 78,294,000
Total OPEB liability as a percentage of covered-employee payroll	12.88%	13.47%	15.27%	16.00%

Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Change in benefit terms:

There were no significant changes in benefit terms.

Changes in assumptions:

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Year ended June 30, 2021	2.16%
Year ended June 30, 2020	2.21%
Year ended June 30, 2019	3.50%
Year ended June 30, 2018	3.87%
Year ended June 30, 2017	3.58%

Additional changes in assumptions since the prior valuation are as follows.

- The retirement and withdrawal rates were updates to the rates from the Iowa Public Employee's Retirement System (IPERS) Actuarial Report as of June 30, 2019.
- The mortality assumption was updates from RP-2014 mortality table with generational scale MP-2018 to Pub-2010 mortality table with generational scale MP-2019 to reflect the Society of
- The Excise Tax (Cadillac Tax on high cost employer sponsred health plans) assumptions are removed from the valuation oto reflect the recent Excise Tax repeal in December 2019.

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

(THIS PAGE LEFT BLANK INTENTIONALLY)

SUPPLEMENTARY INFORMATION

Waterloo Community School District
Nonmajor Governmental Funds –
Description of Funds

Special Revenue Funds

Special revenue funds are used to account for specific revenue that is legally restricted to expenditures for particular purposes.

Student Activity Fund	This fund accounts for the funds raised by student groups. Under state law, the Board retains responsibility for the Student Activity Fund's ultimate disposition.
Management Levy Fund	This fund accounts for the resources accumulated and payments made for property insurance, fidelity bonds, worker compensation, liability insurance premiums, unemployment insurance claims, and early retirement incentives.

Waterloo Community School District
Combining Balance Sheet -
Nonmajor Governmental Funds
June 30, 2021

	Special Revenue Funds		
	Student Activity (21)	Management Levy (22)	Total
Assets			
Cash and investments	$ 1,381,009	$ 1,422,523	$ 2,803,532
Receivables			
Property tax - delinquent	-	18,607	18,607
Property tax - suceeding year	-	1,800,000	1,800,000
Due from other governmental units	-	254	254
Total assets	$ 1,381,009	$ 3,241,384	$ 4,622,393
Liabilities			
Salaries and benefits payable	$ 2,627	$ -	$ 2,627
Due to other governmental units	-	1,145	1,145
Interfund payable	66,397	-	66,397
Total liabilities	69,024	1,145	70,169
Deferred Inflows of Resources			
Unavailable revenue - succeeding year property tax	-	1,800,000	1,800,000
Fund Balances			
Restricted			
Management levy purposes	-	1,440,239	1,440,239
Student activities	1,311,985	-	1,311,985
Total fund balances	1,311,985	1,440,239	2,752,224
Total liabilities, deferred inflows of resources, and fund balances	$ 1,381,009	$ 3,241,384	$ 4,622,393

Waterloo Community School District
Combining Statement of Revenues, Expenditures,
and Changes in Fund Balances - Nonmajor Governmental Funds
June 30, 2021

	Special Revenue Funds		
	Student Activity (21)	Management Levy (22)	Total
Revenues			
Revenue from local sources			
Local property taxes	$ -	$ 1,824,537	$ 1,824,537
Other local and county revenues	843,702	42,439	886,141
Revenue from state sources	-	61,496	61,496
Total revenues	843,702	1,928,472	2,772,174
Expenditures			
Current			
Instruction			
Regular	-	975,952	975,952
Special	-	16,483	16,483
Other	753,018	-	753,018
Support services			
Student	-	9,521	9,521
General administration	-	9,521	9,521
School administration	-	42,499	42,499
Business and central administration	-	43,339	43,339
Operation and maintenance of plant	-	710,276	710,276
Noninstructional programs	-	22,353	22,353
Total expenditures	753,018	1,829,944	2,582,962
Excess of revenues over expenditures	90,684	98,528	189,212
Other Financing Uses			
Transfers out	-	(30,666)	(30,666)
Net change in fund balances	90,684	67,862	158,546
Fund Balances			
Beginning of year	1,221,301	1,372,377	2,593,678
End of year	$ 1,311,985	$ 1,440,239	$ 2,752,224

Waterloo Community School District
Schedule of Changes in Student Activity
Special Revenue Fund
Year Ended June 30, 2021

Account	Balance - Beginning of Year	Revenue	Expenditures	Balance - End of Year
High Schools				
East	$ 222,600	$ 189,738	$ 166,596	$ 245,742
Expo	64,008	6,885	6,884	64,009
West	510,303	437,212	345,164	602,351
Middle Schools				
Bunger	29,126	7,414	12,331	24,209
Carver	28,443	7,827	13,244	23,026
Central	59,305	12,297	16,389	55,213
Hoover	37,023	26,249	35,618	27,654
Elementary Schools				
Cunningham	15,283	2,520	3,545	14,258
Elk Run Pre-K	5,303	52	-	5,355
Fred Becker	26,036	6,464	6,637	25,863
Highland	43,881	7,395	11,097	40,179
Irving	10,170	2,567	2,281	10,456
Kingsley	23,263	18,929	20,596	21,596
Kittrell	35,221	21,550	20,921	35,850
Lincoln	10,009	11,470	5,247	16,232
Lou Henry	46,549	10,711	13,084	44,176
Lowell	14,854	4,734	6,240	13,348
Orange	19,743	23,263	19,038	23,968
Poyner	19,852	24,888	26,861	17,879
Other	329	21,537	21,245	621
Total	$ 1,221,301	$ 843,702	$ 753,018	$ 1,311,985

(THIS PAGE LEFT BLANK INTENTIONALLY)

Waterloo Community School District
Capital Projects Fund Accounts –
Description of Accounts

The Capital Projects Fund is used to account for specific resources that are restricted to expenditures for capital outlays. The fund has two sets of accounts, as follows:

Statewide Sales, Services, and Use Tax	This set of accounts is used to account for all resources used in the acquisition and construction of capital facilities and the payment of fees related to the issuance of bonds.
Physical Plant and Equipment Levy	This set of accounts is used to account for resources accumulated and payments made for the purchase and improvement of grounds, purchase of buildings, major repairs, remodeling, reconstructing, improving or expanding the schools or buildings, and for equipment purchases.

Waterloo Community School District
Combining Balance Sheet -
Capital Projects Fund Accounts
June 30, 2021

	Capital Projects		
	Statewide Sales, Services and Use Tax (33)	Physical Plant and Equipment Levy (36)	Total
Assets			
Cash and investments	$ 24,307,375	$ 3,696,722	$ 28,004,097
Receivables			
Property tax - delinquent	-	30,316	30,316
Property tax - succeeding year	-	3,129,695	3,129,695
Accounts receivable	-	28,309	28,309
Due from other governmental units	1,825,139	388	1,825,527
Total assets	$ 26,132,514	$ 6,885,430	$ 33,017,944
Liabilities			
Accounts and contracts payable	$ 2,398,141	$ 18,100	$ 2,416,241
Due to other governmental units	-	14,933	14,933
Total liabilities	2,398,141	33,033	2,431,174
Deferred Inflows of Resources			
Unavailable revenue - succeeding year property tax	-	3,129,695	3,129,695
Unavailable revenue - Other	500,000	-	500,000
Total deferred inflows of resources	500,000	3,129,695	3,629,695
Fund Balances			
Restricted			
School infrastructure	23,234,373	-	23,234,373
Physical plant and equipment	-	3,722,702	3,722,702
Total fund balances	23,234,373	3,722,702	26,957,075
Total liabilities, deferred inflows of resources, and fund balances	$ 26,132,514	$ 6,885,430	$ 33,017,944

Waterloo Community School District
Combining Schedule of Revenues, Expenditures,
and Changes in Fund Balances - Captal Projects Fund Accounts
Year Ended June 30, 2021

	Capital Projects		
	Statewide Sales, Services and Use Tax (33)	Physical Plant and Equipment Levy (36)	Total
Revenues			
Revenue from local sources			
Local property taxes	$ -	$ 3,124,785	$ 3,124,785
Other local and county revenues	139,689	10,878	150,567
Revenue from state sources	10,845,298	97,619	10,942,917
Revenue from federal sources	834,079	-	834,079
Total revenues	11,819,066	3,233,282	15,052,348
Expenditures			
Current			
General administration	-	1,391	1,391
Business and central administration	-	202,297	202,297
Operational and maintenance of plant	-	137,982	137,982
Facilities acquisition and construction	1,451,627	846,769	2,298,396
Capital Outlay	15,284,396	426,933	15,711,329
Debt service			
Interest and fiscal charges	238,906	-	238,906
Total expenditures	16,974,929	1,615,372	18,590,301
Excess of revenues over (under) expenditures	(5,155,863)	1,617,910	(3,537,953)
Other Financing Sources (Uses)			
Bond proceeds	22,600,000	-	22,600,000
Bond Premium	3,226,399	-	3,226,399
Transfers out	(11,623,855)	-	(11,623,855)
Total other financing sources (uses)	14,202,544	-	14,202,544
Net change in fund balances	9,046,681	1,617,910	10,664,591
Fund Balances			
Beginning of year	14,187,692	2,104,792	16,292,484
End of year	$ 23,234,373	$ 3,722,702	$ 26,957,075

Waterloo Community School District
Schedule of Revenue by Source, Expenditures by Function and Other
Financing Sources and Uses - All Governmental Fund Types
(Modified Accrual Basis)
Last Ten Years

	2012	2013	2014	2015
Revenue				
Local Tax	$ 48,794,236	$ 50,599,641	$ 42,476,135	$ 41,644,560
Other local sources	5,035,493	6,293,548	5,376,943	4,829,364
State sources	65,694,781	67,889,502	82,483,942	90,713,945
Federal sources	13,512,793	11,417,237	10,172,641	9,901,237
Total revenue	133,037,303	136,199,928	140,509,661	147,089,106
Expenditures				
Instruction				
Regular	57,358,965	58,001,828	57,440,376	60,697,165
Special	24,233,590	26,853,906	23,823,892	23,416,889
Vocational	181,479	201,367	184,768	169,788
Other	2,515,742	2,610,714	2,550,136	2,626,179
Support Services				
Student	3,943,132	4,189,344	3,934,386	4,468,458
Instructional staff	4,382,606	4,641,961	4,105,158	3,415,021
General administration	1,280,923	1,313,279	2,053,676	2,474,156
School administration	6,351,790	6,661,022	7,270,700	7,706,815
Business and central administration	3,897,856	4,028,887	4,208,250	4,017,360
Operation and maintenance of plant	9,941,089	10,708,839	10,999,450	10,914,335
Transporation	4,280,604	5,353,119	5,092,951	4,966,293
Noninstructional programs	7,272	7,312	56,164	41,051
AEA flowthrough	4,689,160	4,648,080	4,896,694	5,160,012
Faciilities acquistion	12,646,370	16,032,792	8,016,091	5,916,295
Capital Outlay	-	-	-	-
Debt Service				
Principal	-	1,350,000	1,700,000	2,655,000
Interest and fiscal charges	2,343,124	3,476,497	3,498,428	3,536,466
Total expenditures	138,053,702	150,078,947	139,831,120	142,181,283
Revenue Over (Under) Expenditures	(5,016,399)	(13,879,019)	678,541	4,907,823
Other Financing Sources (Uses)				
Revenue bonds issued	-	10,000,000	-	5,060,000
Premium (discount) on sale of revenue bonds	-	246,146	-	-
Proceeds from sale of capital assets	-	50,003	-	-
Insurance recoveries	-	-	-	-
Proceeds from long-term note receivable from sale of capital assets	-	280,000	-	-
Transfers in	6,277,148	7,332,986	7,391,787	7,171,023
Transfers out	(6,143,739)	(7,332,986)	(7,391,787)	(7,171,023)
Total other financing sources (uses)	133,409	10,576,149	-	5,060,000

Fiscal Year					
2016	2017	2018	2019	2020	2021
$ 40,879,253	$ 41,042,810	$ 41,145,038	$ 39,665,677	$ 39,611,680	$ 40,752,377
3,922,981	4,060,967	3,576,353	5,135,083	3,903,834	2,779,254
92,921,474	93,075,350	93,493,669	96,986,270	98,766,524	102,673,826
9,836,256	9,418,824	10,249,534	10,678,737	12,511,951	24,409,499
147,559,964	147,597,951	148,464,594	152,465,767	154,793,989	170,614,956
58,993,633	55,353,953	55,540,116	57,603,548	59,311,253	62,473,850
22,732,230	21,756,209	22,813,950	25,807,093	25,566,615	25,921,809
202,779	400,383	500,388	1,585,697	2,206,150	2,300,975
2,687,454	2,792,554	3,881,778	3,096,335	2,423,586	2,140,325
4,788,157	4,415,783	5,115,590	4,971,109	5,634,378	5,623,145
2,817,283	5,646,305	6,447,463	6,291,097	6,835,486	6,069,673
2,718,769	2,602,137	2,616,598	2,871,929	3,023,669	3,012,434
7,890,728	7,743,139	8,125,929	7,821,148	7,818,359	8,020,026
4,534,563	3,827,775	4,106,600	3,917,276	4,110,481	4,611,522
11,138,260	11,167,991	11,189,322	11,920,069	11,576,681	11,974,792
4,732,761	4,750,742	5,079,463	5,201,248	4,783,552	4,347,382
762,335	810,060	984,215	1,020,730	1,131,872	1,101,958
5,236,777	5,152,367	5,286,315	5,363,880	5,471,894	5,648,589
1,736,111	3,284,407	8,643,022	661,859	1,400,394	2,298,396
-	-	-	12,522,581	6,328,372	17,695,863
2,760,000	4,930,000	6,367,495	3,861,495	4,944,495	5,145,000
3,462,108	3,769,285	2,256,376	2,530,699	2,502,220	2,608,597
137,193,948	138,403,090	148,954,620	157,047,793	155,069,457	170,994,336
10,366,016	9,194,861	(490,026)	(4,582,026)	(275,468)	(379,380)
-	-	16,667,000	-	-	22,600,000
-	-	-	-	-	3,226,399
17,400	43,045,000	40,850	249,568	-	-
-	-	-	665,391	854,921	380,965
-	(48,033,623)	-	-	-	-
7,322,260	9,610,102	10,272,656	8,806,952	8,461,974	11,654,521
(7,322,260)	(9,610,102)	(10,333,863)	(8,806,952)	(8,766,362)	(11,654,521)
17,400	(4,988,623)	16,646,643	914,959	550,533	26,207,364

(THIS PAGE LEFT BLANK INTENTIONALLY)

STATISTICAL SECTION

(THIS PAGE LEFT BLANK INTENTIONALLY)

Waterloo Community School District
Statistical Section

This part of Waterloo Community School District's Annual Comprehensive Financial Report (ACFR) presents detailed information as a context for understanding what the information in the basic financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

Contents Page

Sources: Unless otherwise noted, the information in these schedules is derived from the ACFR for the relevant year

Waterloo Community School District
Net Position by Component
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year				
	2012	2013	2014	2015*	2016
Governmental activities					
Net investment in capital assets	$ 103,800,904	$ 106,089,868	$ 109,082,308	$ 105,208,898	$ 103,139,326
Restricted	12,162,708	7,080,103	9,032,725	14,000,419	20,345,571
Unrestricted	(890,776)	(1,313,200)	(2,366,988)	(47,591,693)	(41,694,422)
Total governmental activities net position	$ 115,072,836	$ 111,856,771	$ 115,748,045	$ 71,617,624	$ 81,790,475
Business-Type Activities					
Net investment in capital assets	$ 1,225,648	$ 1,062,701	$ 1,078,456	$ 918,703	$ 824,219
Restricted	-	-	31	152	-
Unrestricted	24,800	14,460	105,695	(1,214,262)	(824,219)
Total business-type activities net position	1,250,448	1,077,161	1,184,182	(295,407)	-
Government-Wide					
Net investment in capital assets	$ 105,026,552	$ 107,152,569	$ 110,160,764	$ 106,127,601	$ 103,963,545
Restricted	12,162,708	7,080,103	9,032,756	14,000,571	20,345,571
Unrestricted	(865,976)	(1,298,740)	(2,261,293)	(48,805,955)	(42,518,641)
Total District net position	$ 116,323,284	$ 112,933,932	$ 116,932,227	$ 71,322,217	$ 81,790,475

*The District recorded a prior period adjustment of ($55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of ($1,163,241) for health insurance cost adjustments.

Fiscal Year				
2017	2018	2019	2020	2020
$ 99,742,300	$ 104,277,255	$ 103,694,880	$ 104,757,255	$ 91,549,556
26,714,296	26,709,802	32,952,773	37,301,579	48,642,717
(36,044,713)	(39,397,460)	(41,886,242)	(48,670,312)	(40,459,101)
$ 90,411,883	$ 91,589,597	$ 94,761,411	$ 93,388,522	$ 99,733,172
$ 698,528	$ 632,686	$ 507,425	$ 422,852	$ 310,005
-	-	-	-	-
(698,528)	(865,763)	(499,079)	(414,700)	(302,747)
-	(233,077)	8,346	8,152	7,258
$ 100,440,828	$ 104,909,941	$ 104,202,305	$ 105,180,107	$ 91,859,561
26,714,296	26,709,802	32,952,773	37,301,579	48,642,717
(36,743,241)	(40,263,223)	(42,385,321)	(49,085,012)	(40,761,848)
$ 90,411,883	$ 91,356,520	$ 94,769,757	$ 93,396,674	$ 99,740,430

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year 2012	Fiscal Year 2013
Expenses		
Governmental activities		
Instruction		
Regular	$ 57,539,607	$ 58,367,692
Special	28,982,613	31,738,428
Vocational	213,651	181,182
Other	2,592,078	2,652,560
Support Services		
Student	3,953,771	4,231,296
Instructional Staff	4,396,354	4,692,572
General administration	1,284,554	1,326,175
School administration	6,374,993	6,747,138
Business and central administration	4,051,361	4,163,107
Operations and maintenance of plant	11,554,922	12,193,086
Transportation	4,298,984	5,371,436
Facilities acquisition	-	-
Noninstructional programs	7,272	7,312
Debt service interest and fiscal changes	3,615,700	3,467,624
Depreciation (unallocated)	4,098,229	4,293,227
Total Governmental Activities Expenses	132,964,089	139,432,835
Business-Type Activities		
Nutrition services	5,817,098	5,827,994
Day care services	-	-
Total Business-Type Activities Expense	5,817,098	5,827,994
Total Expenses	$ 138,781,187	$ 145,260,829
Program Revenue		
Governmental Activities		
Charges for Service		
Instruction	$ 2,479,865	$ 5,548,844
Support Services	546,694	546,484
Operating grants, contributions, and restricted interest	27,448,605	23,905,197
Capital grants, contributions, and restricted interest	657,430	264,917
Total Governmental Activities Program Revenue	31,132,594	30,265,442
Business-Type Activities		
Charges for Service		
Nutrition services	$ 1,305,905	$ 1,356,317
Day care services	-	-
Operating grants, contributions, and restricted interest	4,070,794	4,203,271
Capital grants, contributions, and restricted interest	187,346	94,772
Total Business-Type Activities Program Revenue	5,564,045	5,654,360
Total Program Revenue	$ 36,696,639	$ 35,919,802

*The District recorded a prior period adjustment of ($55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of ($1,163,241) for health insurance cost adjustments.

Fiscal Year				
2014	*2015	2016	2017	2018
$ 57,354,110	$ 58,118,773	$ 58,023,505	$ 56,162,424	$ 56,666,299
28,675,255	27,665,186	27,631,219	27,193,436	28,527,564
208,260	174,717	221,589	421,261	489,433
2,615,186	2,645,925	2,729,963	2,864,641	3,944,883
3,927,264	4,279,947	4,724,404	4,465,354	5,198,703
4,097,320	3,295,677	2,770,753	5,733,804	6,591,096
2,041,500	2,380,531	2,673,726	2,642,738	2,668,037
7,253,891	7,387,505	7,748,294	7,863,958	8,299,220
4,294,240	3,995,183	4,442,125	3,922,815	4,197,584
12,782,787	12,712,732	12,167,758	13,627,848	12,777,962
5,066,244	4,987,904	4,755,349	4,756,049	5,084,870
-	-	-	-	-
56,164	31,399	749,198	820,652	995,563
3,490,542	3,453,182	3,440,024	3,116,157	2,676,973
4,537,859	5,118,467	5,323,306	5,312,206	5,332,834
136,400,622	136,247,128	137,401,213	138,903,343	143,451,021
6,014,868	6,123,005	5,771,697	6,097,675	6,397,986
-	-	-	-	-
6,014,868	6,123,005	5,771,697	6,097,675	6,397,986
$ 142,415,490	$ 142,370,133	$ 143,172,910	$ 145,001,018	$ 149,849,007
$ 4,530,590	$ 4,152,099	$ 3,181,655	$ 2,893,381	$ 2,373,293
499,644	240,312	261,520	297,151	287,085
26,420,632	28,261,920	28,527,370	28,218,619	29,499,730
353,198	329,038	136,397	452,249	104,422
31,804,064	32,983,369	32,106,942	31,861,400	32,264,530
$ 1,376,975	$ 1,361,144	$ 1,284,523	$ 1,294,810	$ 1,061,450
-	-	-	-	-
4,508,190	4,656,571	4,782,171	4,800,811	5,268,699
-	-	-	-	-
5,885,165	6,017,715	6,066,694	6,095,621	6,330,149
$ 37,689,229	$ 39,001,084	$ 38,173,636	$ 37,957,021	$ 38,594,679

Continued on next page

(THIS PAGE LEFT BLANK INTENTIONALLY)

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year		
	2019	2020	2021
Expenses			
Governmental activities			
Instruction			
Regular	$ 59,612,267	$ 62,905,756	$ 65,936,444
Special	31,376,216	31,845,373	32,290,424
Vocational	1,573,936	2,410,587	2,412,620
Other	3,149,518	2,717,331	2,242,126
Support Services			
Student	5,008,484	5,785,395	5,748,313
Instructional Staff	6,354,431	7,100,530	6,267,665
General administration	2,894,456	3,137,286	3,104,695
School administration	7,894,732	8,119,212	8,271,876
Business and central administration	3,869,671	4,340,347	5,106,183
Operations and maintenance of plant	12,941,774	12,148,512	12,566,010
Transportation	5,206,719	4,789,500	4,353,077
Facilities acquisition	1,145,942	1,875,116	6,260,881
Noninstructional programs	1,032,969	1,172,254	1,112,247
Debt service interest and fiscal changes	2,862,886	2,737,335	3,348,297
Depreciation (unallocated)	5,384,911	5,529,090	5,704,913
Total Governmental Activities Expenses	150,308,912	156,613,624	164,725,771
Business-Type Activities			
Nutrition services	6,154,195	6,027,419	5,681,056
Day care services	-	-	-
Total Business-Type Activities Expense	6,154,195	6,027,419	5,681,056
Total Expenses	$ 156,463,107	$ 162,641,043	$ 170,406,827
Program Revenue			
Governmental Activities			
Charges for Service			
Instruction	$ 2,551,779	$ 1,842,046	$ 1,445,476
Support Services	908,200	908,933	527,535
Operating grants, contributions, and restricted interest	31,307,678	33,521,342	32,091,282
Capital grants, contributions, and restricted interest	89,319	7,207	150
Total Governmental Activities Program Revenue	34,856,976	36,279,528	34,064,443
Business-Type Activities			
Charges for Service			
Nutrition services	$ 718,531	$ 147,905	$ 58,038
Day care services	-	-	-
Operating grants, contributions, and restricted interest	5,666,206	5,536,063	5,619,626
Capital grants, contributions, and restricted interest	-	-	-
Total Business-Type Activities Program Revenue	6,384,737	5,683,968	5,677,664
Total Program Revenue	$ 41,241,713	$ 41,963,496	$ 39,742,107

Continued on next page

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year	
	2012	2013
Net (Expense) Revenue		
Governmental Activities	$ (101,831,495)	$ (109,167,393)
Business-Type Activities	(253,053)	(173,634)
Total Government-Wide Net Expense	$ (102,084,548)	$ (109,341,027)
General Revenue (Expense) and Transfers		
Governmental Activities		
Property tax	$ 39,848,166	$ 41,296,023
Unrestricted statewide sales, services, and use tax	9,394,228	9,320,460
Unrestricted state and federal grants	53,082,417	55,215,455
Unrestricted investment earnings	28,056	119,390
Other	-	-
Transfers	133,409	-
Total Governmental Activities General Revenue (Expense) and Transfers	102,486,276	105,951,328
Business-Type Activities		
Unrestricted investment earnings	-	347
Other	-	-
Transfers	(133,409)	-
Total Business-Type Activities General Revenue (Expense) and Transfers	(133,409)	347
Total Government-Wide General Revenue	$ 102,352,867	$ 105,951,675
Change in Net Position		
Governmental Activities	$ 654,781	$ (3,216,065)
Business-Type Activities	(386,462)	(173,287)
Total	$ 268,319	$ (3,389,352)

*The District recorded a prior period adjustment of ($55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of ($1,163,241) for health insurance cost adjustments.

Fiscal Year				
2014	*2015	2016	2017	2018
$ (104,596,558)	$ (103,263,759)	$ (105,294,271)	$ (107,041,943)	$ (111,186,491)
(129,703)	(105,290)	294,997	(2,054)	(67,837)
$ (104,726,261)	$ (103,369,049)	$ (104,999,274)	$ (107,043,997)	$ (111,254,328)
$ 42,476,135	$ 41,644,560	$ 40,879,253	$ 41,042,810	$ 41,145,038
9,414,543	10,423,134	10,636,953	10,404,246	10,067,844
56,672,275	61,830,614	63,579,962	63,834,387	64,174,857
161,244	207,929	370,954	381,908	787,325
-	-	-	-	40,850
(236,365)	(4,940)	-	-	(61,207)
108,487,832	114,101,297	115,467,122	115,663,351	116,154,707
359	476	410	1,150	4,098
-	-	-	904	-
236,365	4,940	-	-	61,207
236,724	5,416	410	2,054	65,305
$ 108,724,556	$ 114,106,713	$ 115,467,532	$ 115,665,405	$ 116,220,012
$ 3,891,274	$ 10,837,538	$ 10,172,851	$ 8,621,408	$ 4,968,216
107,021	(99,874)	295,407	-	(2,532)
$ 3,998,295	$ 10,737,664	$ 10,468,258	$ 8,621,408	$ 4,965,684

Continued on next page

(THIS PAGE LEFT BLANK INTENTIONALLY)

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year		
	2019	2020	2021
Net (Expense) Revenue			
Governmental Activities	$ (115,451,936)	$ (120,334,096)	$ (130,661,328)
Business-Type Activities	230,542	(343,451)	(3,392)
Total Government-Wide Net Expense	$ (115,221,394)	$ (120,677,547)	$ (130,664,720)
General Revenue (Expense) and Transfers			
Governmental Activities			
Property tax	$ 39,665,677	$ 39,611,680	$ 40,752,377
Unrestricted statewide sales, services, and use tax	11,253,675	11,095,519	10,920,298
Unrestricted state and federal grants	66,090,945	67,506,132	84,754,808
Unrestricted investment earnings	1,363,885	1,081,051	578,995
Other	249,568	-	-
Transfers	-	(333,175)	-
Total Governmental Activities General Revenue (Expense) and Transfers	118,623,750	118,961,207	137,006,478
Business-Type Activities			
Unrestricted investment earnings	10,881	10,082	2,498
Other	-	-	-
Transfers	-	333,175	-
Total Business-Type Activities General Revenue (Expense) and Transfers	10,881	343,257	2,498
Total Government-Wide General Revenue	$ 118,634,631	$ 119,304,464	$ 137,008,976
Change in Net Position			
Governmental Activities	$ 3,171,814	$ (1,372,889)	$ 6,345,150
Business-Type Activities	241,423	(194)	(894)
Total	$ 3,413,237	$ (1,373,083)	$ 6,344,256

Continued on next page

Waterloo Community School District
Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

					Fiscal Year
	2012	2013	2014	2015	2016
General Fund					
Nonspendable	$ 270,076	$ 244,425	$ 266,418	$ 314,835	$ 214,094
Restricted	1,097,124	1,157,380	1,316,639	596,754	618,739
Committed	7,206,970	2,223,795	-	-	-
Assigned	-	-	3,363,588	2,854,732	1,230,992
Unassigned	72,923	334,586	140,498	4,774,487	9,406,541
Total General Fund	$ 8,647,093	$ 3,960,186	$ 5,087,143	$ 8,540,808	$ 11,470,366
All Other Governmental Funds					
Debt Service Fund					
Restricted	$ 9,251,902	$ 11,871,946	$ 14,059,941	$ 15,164,372	$ 16,537,007
Capital Projects Fund					
Nonspendable	-	280,000	215,000	-	-
Restricted	1,137,600	419,321	266,201	3,408,325	7,699,813
Assigned	-	-	-	-	-
Unassigned	-	(139,528)	(2,901,370)	-	-
Special Revenue Funds					
Nonspendable	-	-	-	13,682	13,205
Restricted	1,948,301	1,290,101	1,633,652	2,328,344	2,991,415
Total All Other Governmental Funds	$ 12,337,803	$ 13,721,840	$ 13,273,424	$ 20,914,723	$ 27,241,440
Total All Governmental Funds	$ 20,984,896	$ 17,682,026	$ 18,360,567	$ 29,455,531	$ 38,711,806

Note: GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions* , was implemented in fiscal year 2011.

2017	2018	2019	2020	2021
$ 203,354	$ 209,587	$ 170,726	$ 180,078	$ 233,193
846,668	896,351	912,809	1,931,290	793,868
-	-	-	-	-
1,230,992	1,230,992	1,230,992	1,230,992	1,230,992
16,613,297	19,273,937	17,848,501	15,181,795	26,948,864
$ 18,894,311	$ 21,610,867	$ 20,163,028	$ 18,524,155	$ 29,206,917
$ 12,636,227	$ 14,412,575	$ 16,936,384	$ 18,272,341	$ 22,594,426
-	-	-	-	-
8,414,802	19,959,174	15,335,500	16,292,484	26,957,075
-	-	-	-	-
-	-	-	-	-
21,922	-	-	-	-
2,950,781	3,092,044	2,972,681	2,593,678	2,752,224
$ 24,023,732	$ 37,463,793	$ 35,244,565	$ 37,158,503	$ 52,303,725
$ 42,918,043	$ 59,074,660	$ 55,407,593	$ 55,682,658	$ 81,510,642

Waterloo Community School District
Changes in Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Revenue				
Local Tax	$ 48,794,236	$ 50,599,641	$ 42,476,135	$ 41,644,560
Other local sources	5,035,493	6,293,548	5,376,943	4,829,364
State sources	65,694,781	67,889,502	82,483,942	90,713,945
Federal sources	13,512,793	11,417,237	10,172,641	9,901,237
Total Revenue	133,037,303	136,199,928	140,509,661	147,089,106
Expenditures				
Instruction				
Regular	57,358,965	58,001,828	57,440,376	60,121,044
Special	24,233,590	26,853,906	23,823,892	23,156,424
Vocational	181,479	201,367	184,768	169,756
Other	2,515,742	2,610,714	2,550,136	2,621,515
Support Services				
Student	3,943,132	4,189,344	3,934,386	4,431,229
Instructional staff	4,382,606	4,641,961	4,105,158	3,388,887
General administration	1,280,923	1,313,279	2,053,676	2,451,090
School administration	6,351,790	6,661,022	7,270,700	7,625,796
Business and central administration	3,897,856	4,028,887	4,208,250	3,985,863
Operation and maintenance of plant	9,941,089	10,708,839	10,999,450	10,837,204
Transportation	4,280,604	5,353,119	5,092,951	4,966,162
Noninstructional programs	7,272	7,312	56,164	31,399
AEA flowthrough	4,689,160	4,648,080	4,896,694	5,160,012
Facilities acquisition	12,646,370	16,032,792	8,016,091	5,916,295
Capital outlay	-	-	-	-
Debt Service				
Principal	-	1,350,000	1,700,000	2,655,000
Interest and fiscal charges	2,343,124	3,476,497	3,498,428	3,536,466
Total Expenditures	138,053,702	150,078,947	139,831,120	141,054,142
Revenue Over (Under) Expenditures	(5,016,399)	(13,879,019)	678,541	6,034,964
Other Financing Sources (Uses)				
Revenue bonds issued	-	10,000,000	-	5,060,000
Premium (discount) on sale of revenue bonds	-	246,146	-	-
Revenue bonds repaid	-	-	-	-
Proceeds from sale of capital assets	-	50,003	-	-
Insurance recoveries	-	-	-	-
Proceeds from long-term note receivable	-	280,000	-	-
Payment to refunding bonds escrow agent	-	-	-	-
Transfers in	6,277,148	7,332,986	7,391,787	7,171,023
Transfers out	(6,143,739)	(7,332,986)	(7,391,787)	(7,171,023)
Total Other Financing Sources (Uses)	133,409	10,576,149	-	5,060,000
Net change in fund balances	$ (4,882,990)	$ (3,302,870)	$ 678,541	$ 11,094,964
Debt services as a percentage of noncapital expenditures	1.85%	3.58%	3.89%	4.52%

Fiscal Year					
2016	2017	2018	2019	2020	2021
$ 40,879,253	$ 41,042,810	$ 41,145,038	$ 39,665,677	$ 39,611,680	$ 40,752,377
3,922,981	4,060,967	3,576,353	5,135,083	3,903,834	2,779,254
92,921,474	93,075,350	93,493,669	96,986,270	98,766,524	102,673,826
9,836,256	9,418,824	10,249,534	10,678,737	12,511,951	24,409,499
147,559,964	147,597,951	148,464,594	152,465,767	154,793,989	170,614,956
58,993,633	55,353,953	55,540,116	57,603,548	59,311,253	62,473,850
22,732,230	21,756,209	22,813,950	25,807,093	25,566,615	25,921,809
202,779	400,383	500,388	1,585,697	2,206,150	2,300,975
2,687,454	2,792,554	3,881,778	3,096,335	2,423,586	2,140,325
4,788,157	4,415,783	5,115,590	4,971,109	5,634,378	5,623,145
2,817,283	5,646,305	6,447,463	6,291,097	6,835,486	6,069,673
2,718,769	2,602,137	2,616,598	2,871,929	3,023,669	3,012,434
7,890,728	7,743,139	8,125,929	7,821,148	7,818,359	8,020,026
4,534,563	3,827,775	4,106,600	3,917,276	4,110,481	4,611,522
11,138,260	11,167,991	11,189,322	11,920,069	11,576,681	11,974,792
4,732,761	4,750,742	5,079,463	5,201,248	4,783,552	4,347,382
762,335	810,060	984,215	1,020,730	1,131,872	1,101,958
5,236,777	5,152,367	5,286,315	5,363,880	5,471,894	5,648,589
1,736,111	3,284,407	8,643,022	1,145,942	1,400,394	2,298,396
-	-	-	12,038,498	6,328,372	17,695,863
2,760,000	4,930,000	6,367,495	3,861,495	4,944,495	5,145,000
3,462,108	3,769,285	2,256,376	2,530,699	2,502,220	2,608,597
137,193,948	138,403,090	148,954,620	157,047,793	155,069,457	170,994,336
10,366,016	9,194,861	(490,026)	(4,582,026)	(275,468)	(379,380)
-	-	16,667,000	-	-	22,600,000
-	-	-	-	-	3,226,399
-	-	-	-	-	-
17,400	43,045,000	40,850	249,568	-	-
-	-	-	665,391	854,921	380,965
-	-	-	-	-	-
-	(48,033,623)	-	-	-	-
7,322,260	9,610,102	10,272,656	8,806,952	8,461,974	11,654,521
(7,322,260)	(9,610,102)	(10,333,863)	(8,806,952)	(8,766,362)	(11,654,521)
17,400	(4,988,623)	16,646,643	914,959	550,533	26,207,364
$ 10,383,416	$ 4,206,238	$ 16,156,617	$ (3,667,067)	$ 275,065	$ 25,827,984
4.57%	6.34%	6.10%	4.35%	4.93%	5.03%

(THIS PAGE LEFT BLANK INTENTIONALLY)

Waterloo Community School District
General Fund - Other Local Revenue by Sources
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

Fiscal Year Ended June 30,	Rentals	Contributions	Investment Earnings	Other	Total
2012	180,510	1,808,099	3,953	481,194	2,473,756
2013	170,686	1,880,256	58,975	504,977	2,614,894
2014	44,065	2,241,178	72,959	587,411	2,945,613
2015	118,672	1,918,344	97,640	373,586	2,508,242
2016	114,095	622,991	83,636	224,583	1,045,305
2017	96,094	598,548	162,521	293,200	1,150,363
2018	74,926	371,131	433,257	202,592	1,081,906
2019	77,826	1,207,716	721,011	129,411	2,135,964
2020	52,490	964,166	538,135	77,637	1,632,428
2021	25,855	440,080	219,925	198,360	884,220

Source: District financial records

Waterloo Community School District
Taxable Value and Assessed Value of Taxable Property
Last Ten Fiscal Years

Excluding Tax Increment Financing (TIF) Property

Levy Year	Collection Year	Real Property Taxable Value	Real Property 100% Assessed Value	Utilities with Gas and Electric Taxable Value	Utilities with Gas and Electric 100% Assessed Value
2019	2020-21	$ 2,980,745,977	$ 4,577,698,946	$ 86,082,965	$ 190,923,087
2018	2019-20	2,979,211,235	4,505,458,805	89,352,252	181,312,936
2017	2018-19	2,578,452,678	4,579,032,151	91,523,089	173,916,620
2016	2017-18	2,596,980,650	4,094,291,800	92,872,695	172,719,002
2015	2016-17	2,485,821,894	3,980,722,291	132,928,647	202,116,070
2014	2015-16	2,443,853,918	3,897,583,672	137,562,883	192,279,984
2013	2014-15	2,466,387,287	3,896,489,703	140,057,849	174,702,214
2012	2013-14	2,549,230,988	3,983,805,644	141,032,313	199,354,174
2011	2012-13	2,477,555,487	3,957,138,280	142,520,890	194,394,891
2010	2011-12	2,304,790,589	3,783,890,999	144,349,491	191,399,146

*Source: Black Hawk County Auditor's Office

Total		Ratio of Taxable Value to 100% Assessed Value	Total District Levy Rate
Taxable Value	100% Assessed Value		
$ 3,066,828,942	$ 4,768,622,033	64.3%	14.20694
3,068,563,487	4,686,771,741	65.5	14.20694
2,669,975,767	4,752,948,771	56.2	14.57188
2,689,853,345	4,267,010,802	63.0	14.98155
2,618,750,541	4,182,838,361	62.6	15.40000
2,581,416,801	4,089,863,656	63.1	15.62432
2,606,445,136	4,071,191,917	64.0	15.97526
2,690,263,301	4,183,159,818	64.3	15.72818
2,620,076,377	4,151,533,171	63.1	15.80265
2,449,140,080	3,975,290,145	61.6	16.28141

Waterloo Community School District
Direct and Overlapping Property Tax Rates Per $1,000 Assessed Valuation
Last Ten Fiscal Years

			Overlapping Rates						District Direct Rates					
City	Levy Year	Collection Year	State	Area VII Community College	Ag Extension	Assessor	Black Hawk County	City	General Fund	Manage-ment Levy Fund	PPEL Fund	Total District	Total	Ratio of Waterloo Community School District to Total
Waterloo	2020	2021-22	0.00260	$ 1.17640	$ 0.09872	$ 0.22103	$ 6.17391	$ 18.63188	$ 12.20076	$ 0.64693	$ 1.00000	$ 13.84769	$ 40.15223	34.49%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	17.45595	12.55248	0.65446	1.00000	14.20694	39.71936	35.77%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	17.54799	12.77376	0.43318	1.00000	14.20694	39.49347	35.97%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	17.45595	13.01008	0.56180	1.00000	14.57188	40.08430	36.35%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	7.58574	13.42390	0.55765	1.00000	14.98155	30.31731	49.42%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	17.60522	13.82721	0.57279	1.00000	15.40000	40.78414	37.76%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	17.76370	13.77207	0.85225	1.00000	15.62432	41.48607	37.66%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	17.95159	13.82427	1.15099	1.00000	15.97526	41.40455	38.58%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	17.49319	13.53871	1.18947	1.00000	15.72818	40.61203	38.73%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	18.20505	13.73398	1.06867	1.00000	15.80265	41.58533	38.00%
Cedar Falls	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	11.38273	12.20076	0.64693	1.00000	13.84769	32.90308	42.09%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	11.22169	12.55248	0.65446	1.00000	14.20694	33.48510	42.43%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	10.95250	12.77376	0.43318	1.00000	14.20694	32.89798	43.18%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	11.22169	13.01008	0.56180	1.00000	14.57188	33.85004	43.05%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	11.76884	13.42390	0.55765	1.00000	14.98155	34.50041	43.42%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	11.21967	13.82721	0.57279	1.00000	15.40000	34.39859	44.77%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	11.52796	13.77207	0.85225	1.00000	15.62432	35.25033	44.32%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	11.81029	13.82427	1.15099	1.00000	15.97526	35.26325	45.30%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	12.02123	13.53871	1.18947	1.00000	15.72818	35.14007	44.76%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	12.20300	13.73398	1.06867	1.00000	15.80265	35.58328	44.41%
Elk Run Heights	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	8.09999	12.20076	0.64693	1.00000	13.84769	29.62034	46.75%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	8.10000	12.55248	0.65446	1.00000	14.20694	30.36341	46.79%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	8.10000	12.77376	0.43318	1.00000	14.20694	30.04548	47.28%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	8.10000	13.01008	0.56180	1.00000	14.57188	30.72835	47.42%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	6.91757	13.42390	0.55765	1.00000	14.98155	29.64914	50.53%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	7.00001	13.82721	0.57279	1.00000	15.40000	30.17893	51.03%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	7.00000	13.77207	0.85225	1.00000	15.62432	30.72237	50.86%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.01470	13.82427	1.15099	1.00000	15.97526	29.46766	54.21%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	6.01402	13.53871	1.18947	1.00000	15.72818	29.13286	53.99%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	6.01404	13.73398	1.06867	1.00000	15.80265	29.39432	53.76%

Continued on next page

Waterloo Community School District
Direct and Overlapping Property Tax Rates Per $1,000 Assessed Valuation
Last Ten Fiscal Years

			Overlapping Rates						District Direct Rates					
City	Levy Year	Collection Year	State	Area VII Community College	Ag Extension	Assessor	Black Hawk County	City	General Fund	Manage-ment Levy Fund	PPEL Fund	Total District	Total	Ratio of Waterloo Community School District to Total
Evansdale	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	7.94876	12.20076	0.64693	1.00000	13.84769	29.46911	46.99%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	8.10000	12.55248	0.65446	1.00000	14.20694	30.36341	46.79%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	9.30626	12.77376	0.43318	1.00000	14.20694	31.25174	45.46%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	8.10000	13.01008	0.56180	1.00000	14.57188	30.72835	47.42%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	17.60000	13.42390	0.55765	1.00000	14.98155	40.33157	37.15%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	7.41756	13.82721	0.57279	1.00000	15.40000	30.59648	50.33%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	6.99152	13.77207	0.85225	1.00000	15.62432	30.71389	50.87%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.99152	13.82427	1.15099	1.00000	15.97526	30.44448	52.47%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	6.31301	13.53871	1.18947	1.00000	15.72818	29.43185	53.44%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	6.87978	13.73398	1.06867	1.00000	15.80265	30.26006	52.22%
Gilbertville	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	12.89986	12.20076	0.64693	1.00000	13.84769	34.42021	40.23%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	11.83251	12.55248	0.65446	1.00000	14.20694	34.09592	41.67%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	12.21391	12.77376	0.43318	1.00000	14.20694	34.15939	41.59%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	11.83251	13.01008	0.56180	1.00000	14.57188	34.46086	42.29%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	11.13476	13.42390	0.55765	1.00000	14.98155	33.86633	44.24%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	11.35181	13.82721	0.57279	1.00000	15.40000	34.53073	44.60%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	10.97368	13.77207	0.85225	1.00000	15.62432	34.69605	45.03%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	10.63264	13.82427	1.15099	1.00000	15.97526	34.08560	46.87%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	10.57069	13.53871	1.18947	1.00000	15.72818	33.68953	46.69%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	10.57919	13.73398	1.06867	1.00000	15.80265	33.95947	46.53%
Raymond	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	6.91754	12.20076	0.64693	1.00000	13.84769	28.43789	48.69%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	6.91757	12.55248	0.65446	1.00000	14.20694	29.18098	48.69%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	6.97156	12.77376	0.43318	1.00000	14.20694	28.91704	49.13%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	6.91757	13.01008	0.56180	1.00000	14.57188	29.54592	49.32%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	8.10000	13.42390	0.55765	1.00000	14.98155	30.83157	48.59%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	6.98609	13.82721	0.57279	1.00000	15.40000	30.16501	51.05%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	6.96247	13.77207	0.85225	1.00000	15.62432	30.68484	50.92%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.96247	13.82427	1.15099	1.00000	15.97526	30.41543	52.52%
	2012	2013-14	0.00330	0.95205	0.08970	0.32445	6.02116	6.91759	13.53871	1.18947	1.00000	15.72818	30.03643	52.36%
	2011	2012-13	0.00330	0.96069	0.09135	0.28236	6.23993	6.91758	13.73398	1.06867	1.00000	15.80265	30.29786	52.16%

Source: Black Hawk County Auditor's Office

Waterloo Community School District
Top Ten Property Taxpayers
Current Year and Nine Years Ago

Taxpayers	Type of Business	FY 2021 Taxable Value	Percentage of 2021 Total Taxable Valuation*	Percentage of Total Taxable Value	FY 2012 Taxable Value	Percentage of 2012 Taxable Valuation	Percentage of Total Taxable Value
Deere & Company	Manufacturing	$ 53,721,205	2.02%	20.12%	$ 27,419,401	0.72%	10.27%
GLP Capital	Casino	48,954,195	1.84%	18.34%	73,670,230	1.92%	27.61%
Con Agra	Food processing	31,500,000	1.18%	11.80%	21,381,430	0.56%	8.01%
Menard, Inc.	Retail	21,472,974	0.81%	8.04%	-	-	-
Northern Natural Gas Co.	Utilities	22,834,380	0.86%	8.55%	21,399,835	0.56%	8.02%
Feguson Enterprises, Inc.	Manufacturing	18,636,903	0.70%	6.98%	24,732,360	0.65%	9.27%
IBP, Inc.	Meat processing	22,227,386	0.83%	8.33%	14,570,893	0.38%	5.46%
VGM Management	Health Care	16,594,905	0.62%	6.22%	-	-	-
Bertch Cabinet Mfg., Inc.	Manufacturing	14,318,676	0.54%	5.36%	14,905,610	0.39%	5.58%
Howard L Allen Banco Mortgage Co	Mortgage lender	-	-	-	11,431,160	0.30%	4.28%
G G & A Crossroads Center	Retail	-	-	-	39,530,390	1.03%	14.81%
FDP WTC LLC	Developer	16,711,938	0.63%	6.26%			
Qwest Corporation	Communications	-	-	-	17,846,863	0.47%	6.69%
Totals		$ 266,972,562	10.02%	100.00%	$ 266,888,172	6.98%	100.00%

*2021 total net taxable valuation of $2,664,296,846 (without gas and electric utility value) and excluding tax increment financing (TIF) property

Source: Black Hawk County Auditor's Office

Waterloo Community School District
Property Tax Levies and Collections
Last Ten Fiscal Years

Levy Years	Fiscal Year	Taxes Levied for the Fiscal Year	Collected within the Fiscal Year of the Levy		Collections in Subsequent Years	Total Collections to Date	
			Amount	Percentage of Levy		Amount	Percentage of Levy
2019	2020-21	$ 39,888,502	$ 39,888,502	100.00%	$ -	$ 39,496,191	99.02%
2018	2019-20	40,174,005	39,496,191	98.31%	-	39,496,191	98.31%
2017	2018-19	39,669,878	39,665,677	99.99%	-	39,665,677	99.99%
2016	2017-18	40,980,631	40,980,631	100.00%	-	40,980,631	100.00%
2015	2016-17	41,068,462	41,042,810	99.94%	-	41,042,810	99.94%
2014	2015-16	41,010,189	40,879,253	99.68%	-	40,879,253	99.68%
2013	2014-15	42,243,752	41,644,560	98.58%	-	41,644,560	98.58%
2012	2013-14	42,842,013	42,502,915	99.21%	-	42,502,915	99.21%
2011	2012-13	41,604,671	41,321,355	99.32%	-	41,321,355	99.32%
2010	2011-12	40,049,487	39,874,663	99.56%	-	39,874,663	99.56%

Source: Black Hawk County Auditor's Office

Waterloo Community School District
Ratios of Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)

Year Ended June 30,	Governmental Activities: Revenue Bonds and Unamortized Bond Premiums/Discounts	Total Debt Per Capita*	Personal Income*	Ratio of Outstanding Debt to Personal Income
2012	69,384,966	527	4,094,601,147	0.0169
2013	78,264,196	593	4,031,678,826	0.0194
2014	76,524,022	580	4,189,729,509	0.0183
2015	78,889,288	591	4,279,485,888	0.0184
2016	76,089,554	569	4,550,102,593	0.0167
2017	69,673,800	515	4,695,265,800	0.0148
2018	79,949,948	588	4,804,787,520	0.0166
2019	76,065,096	573	4,495,807,660	0.0169
2020	71,097,244	538	4,422,451,530	0.0161
2021	91,715,127	699	4,010,721,364	0.0229

* Personal income and population data can be found in the Schedule of Demographic and Economic Statistics.

Source: District financial records

Waterloo Community School District
Ratio of Net General Bonded
Debt Outstanding
Last Ten Fiscal Years
(Unaudited)

Years Ended June 30,	Governmental Activities Revenue Bonds	Percentage of Actual Assessed Value of Property
2012	69,159,539	1.83%
2013	77,809,539	1.97%
2014	76,109,539	1.91%
2015	78,514,539	2.02%
2016	75,754,539	1.94%
2017	69,539,539	1.75%
2018	79,842,539	3.07%
2019	75,984,539	2.95%
2020	71,043,539	2.65%
2021	88,498,539	3.30%

Source: District financial records

(THIS PAGE LEFT BLANK INTENTIONALLY)

Waterloo Community School District
Direct and Overlapping Governmental Activities Debt
As of June 30, 2021
(Unaudited)

Name of Governmental Unit	Total Gross Debt Outstanding (Including Known Unamortized Bond Premiums/ Discounts)	Percentage Applicable to Waterloo Community School District	Overlapping Debt*	Direct Debt	Total Direct and Overlapping Debt
Black Hawk County	$ 22,350,000	49.68%	$ 11,103,480	-	$ 11,103,480
City of Cedar Falls	13,595,000	2.46%	334,437	-	334,437
City of Evansdale	7,395,000	100.00%	7,395,000	-	7,395,000
City of Waterloo	102,396,426	96.93%	99,252,856	-	99,252,856
City of Gilbertville	2,012,000	100.00%	2,012,000	-	2,012,000
City of Elk Run Heights	318,500	100.00%	318,500		
Hawkeye Community College	11,560,000	28.25%	3,265,700	-	3,265,700
Subtotal	159,626,926		123,681,973	-	123,681,973
Waterloo Community School District	71,043,539	100.00%	-	88,498,539	88,498,539
Total			$ 123,681,973	$ 88,498,539	$ 212,180,512

Note: Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the government's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident and, therefore, responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value.

Source: Black Hawk County Auditor's Office and District financial records

Waterloo Community School District
Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)

	2012	2013	2014	2015
Total Assessed Valuation	$ 3,975,290,145	$ 4,151,533,171	$ 4,183,159,818	$ 4,071,191,917
Debt limit 5% of total assessed value	$ 198,764,507	$ 207,576,659	$ 209,157,991	$ 203,559,596
Amount of debt application to debt limit, total general obligation bonded debt	69,159,539	77,809,539	76,109,539	78,514,539
Excess of Debt Limit Over Bonded Debt Outstanding Legal Debit Margin	$ 129,604,968	$ 129,767,120	$ 133,048,452	$ 125,045,057
Amount of Debt Applicable to Debt Limit as a Percentage of Debt Limit	34.79%	37.48%	36.39%	38.57%

* Excludes tax increment financing (TIF) property.

Source: Black Hawk County Auditor's Office and District financial records

2016	2017	2018	2019	2020	2021
$ 4,089,863,656	$ 4,182,838,361	$ 4,268,208,420	$ 4,752,948,771	$ 4,762,395,088	$ 4,807,929,611
$ 204,493,183	$ 209,141,918	$ 213,410,421	$ 237,647,439	$ 238,119,754	$ 240,396,481
75,754,539	69,539,539	79,842,539	75,984,539	71,043,539	88,498,539
$ 128,738,644	$ 139,602,379	$ 133,567,882	$ 161,662,900	$ 167,076,215	$ 151,897,942
37.05%	33.25%	37.41%	31.97%	29.84%	36.81%

Waterloo Community School District
Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)

		Local Options Sales Tax Revenue Bonds		
		Debt Service		
Year Ended June 30,	Revenue	Principal	Interest (Net of Credits)	Coverage
2012	$ 8,946,070	$ -	$ 1,297,428	6.90
2013	9,303,618	1,350,000	2,567,733	2.37
2014	9,395,943	1,700,000	2,672,117	2.15
2015	10,422,634	2,655,000	2,657,939	1.96
2016	10,622,853	2,760,000	2,567,822	1.99
2017	10,477,446	4,930,000	2,572,701	1.40
2018	10,092,844	6,364,000	1,375,813	1.30
2019	11,153,675	3,858,000	1,693,742	2.01
2020	11,170,519	4,941,000	1,605,513	1.71
2021	10,845,298	5,145,000	1,525,812	1.63

Source: District financial records

Waterloo Community School District
Demographic and Economic Statistics
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Population*	Personal Income	Per Capita Personal Income	Unemployment Rate
2012	131,833	4,094,562,500	31,059	5.6%
2013	132,039	4,031,678,826	30,534	4.9%
2014	132,039	4,189,729,509	31,731	4.5%
2015	133,467	4,279,485,888	32,064	4.6%
2016	133,799	4,550,102,593	34,007	5.0%
2017	135,400	4,695,265,800	34,677	4.2%
2018	135,882	4,804,787,520	35,360	2.9%
2019	132,745	4,495,807,660	33,868	2.7%
2020	132,195	4,422,451,530	33,454	8.7%
2021	131,228	4,010,721,364	30,563	5.0%

* Population for Black Hawk County

Source: Census.gov/quickfacts/blackhawkcountyiowa
and U.S. Bureau of Labor Statistics (bls.gov/eag.ia waterloo msa.htm#

Waterloo Community School District
Principal Employers
Current Year and Nine Years Ago
(Unaudited)

		2021			2012		
Name	Product/Service	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Deere & Company	Manufacturing	5,000	1	22.97%	6,000	1	28.74%
Tyson Fresh Meats	Food processing	3,207	2	14.73%	2,600	3	12.45%
MercyOne fka Wheaton Franciscan	Health care	2,653	4	12.19%	2,691	2	12.89%
University of Northern Iowa	Higher education	1,736	5	7.97%	1,811	5	8.67%
Waterloo Community School District	Education	1,664	6	7.64%	1,786	6	8.55%
UnityPoint Health	Health care	2,745	3	12.61%	-	-	-
Hy-Vee Food Stores	Grocery	1,450	7	6.66%	1,071	8	5.13%
Western Home Communities	Health care/Housing	1,061	9	4.87%	-	-	-
VGM Group	Business services	906	10	4.16%	-	-	-
Target Distribution	Distribution	1,350	8	4.06%	-	-	-
Allen Health Systems	Health care	-	-	0.00%	1,908	4	9.14%
Omega Cabinet Manufacturing	Manufacturing	-	-	0.00%	1,000	9	4.79%
GMAC Mortgage Corporation	Mortgage service center	-	-	0.00%	875	10	4.19%
Area Education Agency 267	Education	-	-	0.00%	1,137	7	5.45%
Total		21,772			20,879		

Source: Cedar Valley Community Fact Sheet, 2021 Edition

Waterloo Community School District
Full-Time Equivalent District Employees
Last Ten Fiscal Years
(Unaudited)

	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Administration										
Superintendent	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Assistant superintendent	1.8	1.8	2.0	2.0	2.0	2.0	2.0	1.0	1.0	1.0
Principals	18.0	18.0	18.0	18.0	18.0	18.0	18.0	18.0	18.0	18.0
Assistant principals	14.0	12.0	19.0	19.0	19.0	18.0	18.0	17.0	17.0	17.9
Other administrators	24.0	18.9	14.0	12.0	13.9	13.9	13.2	13.5	12.0	16.0
Total Administration	58.8	51.7	54	52	53.89	52.9	52.2	50.5	49.0	53.9
Instruction										
Teachers	878.5	867.7	850.9	867.6	833.0	837.0	830.0	840.1	836.0	840.0
Counselors	25.5	23.5	28.5	30.8	31.0	30.0	30.0	30.0	30.0	30.0
Librarians	2.0	6.0	11.0	9.0	10.0	12.0	12.0	13.0	13.0	14.0
Teacher leaders	-	-	10.0	12.0	25.0	20.0	20.0	20.0	20.0	25.0
Total Instruction	906	897.2	900.4	919.4	899	899	892	903.1	899.0	909.0
Other										
Clerical-Teacher Associates	359.4	409.3	410.7	412.5	384.6	344.7	356.0	400.0	443.0	406.6
Crafts/Trades	28.0	27.0	26.0	26.0	25.0	25.0	24.0	25.0	24.0	25.0
Other support	224.6	221.2	233.3	248.5	267.8	272.5	287.0	281.8	291.8	327.9
Total Support	612	657.5	670	687	677.4	642.2	667	706.8	758.8	759.5
Total*	1,576.8	1,606.4	1,624.4	1,658.4	1,630.3	1,594.1	1,611.2	1,660.4	1,706.8	1,722.4

* FTE (full-time equivalent)

Note: District FTE by function/program not available.

Source: District records

Waterloo Community School District
Full-Time Equivalent and Salary Information for District Instructional Staff
As of June 2021
(Unaudited)

Degree		BA		BA+15		BA+30	
		FTE	Salary	FTE	Salary	FTE	Salary
Step	1	-	$ 36,200	-	$ 38,010	-	$ 39,820
	2	-	37,648	-	39,458	-	41,268
	3	-	39,096	-	40,906	-	42,716
	4	-	40,544	-	42,354	-	44,164
	5	57.0	41,992	-	43,802	2.0	45,974
	6	106.0	43,440	13.0	45,612	6.0	47,784
	7	19.0	45,250	3.0	47,422	4.0	49,594
	8	12.0	47,060	4.0	49,232	2.0	51,404
	9	18.0	48,870	2.0	51,042	1.0	53,214
	10	23.0	50,680	4.0	52,852	2.0	55,024
	11	7.0	52,490	3.0	54,662	4.0	56,834
	12	8.0	53,576	7.0	56,472	1.0	58,644
	13	21.0	54,662	5.0	57,920	1.0	60,454
	14	7.0	55,024	3.0	58,282	3.0	61,178
	15	3.0	55,748	2.0	59,006	2.0	61,902
	16	5.0	56,110	1.0	59,368	2.0	62,264
	17	7.0	56,472	6.0	59,730	2.0	62,988
	18	7.0	56,834	2.0	60,092	-	63,712
	19	4.0	57,196	4.0	60,454	2.0	64,074
	20	5.0	57,558	3.0	60,816	6.0	64,798
	21	6.0	57,920	21.0	61,178	33.0	65,522
Total		315.0		83.0		73.0	

Total Full-Time Equivalents

Degree		BA	BA+15	BA+30
		FTE x Salary	FTE x Salary	FTE x Salary
Step	1	$ -	$ -	$ -
	2	-	-	-
	3	-	-	-
	4	-	-	-
	5	2,393,544	-	91,948
	6	4,604,640	592,956	286,704
	7	859,750	142,266	198,376
	8	564,720	196,928	102,808
	9	879,660	102,084	53,214
	10	1,165,640	211,408	110,048
	11	367,430	163,986	227,336
	12	428,608	395,304	58,644
	13	1,147,902	289,600	60,454
	14	385,168	174,846	183,534
	15	167,244	118,012	123,804
	16	280,550	59,368	124,528
	17	395,304	358,380	125,976
	18	397,838	120,184	-
	19	228,784	241,816	128,148
	20	287,790	182,448	388,788
	21	347,520	1,284,738	2,162,226
Total		$ 14,902,092	$ 4,634,324	$ 4,426,536
Average Salary				$ 57,115

Source: District records

MA		MA+15		MA+30		MA+45		
FTE	Salary	FTE	Salary	FTE	Salary	FTE	Salary	
-	$ 41,630	-	$ 43,440	-	$ 45,250	-	$ 47,060	
-	43,078	-	44,888	-	47,060	-	48,870	
-	44,526	-	46,698	-	48,870	-	50,680	
-	46,336	-	48,508	-	50,680	-	52,490	
2.0	48,146	1.0	50,318	-	52,490	1.0	54,300	
13.0	49,956	6.0	52,128	-	54,300	-	56,110	
9.0	51,766	1.0	53,938	-	56,110	2.0	57,920	
13.0	53,576	5.0	55,748	-	57,920	-	59,730	
10.0	55,386	2.0	57,558	1.0	59,730	3.0	61,540	
10.0	57,196	2.0	59,368	2.0	61,540	2.0	63,350	
22.0	59,006	5.0	61,178	2.0	63,350	2.0	65,160	
17.0	60,816	3.0	62,988	1.0	65,160	4.0	66,970	
19.0	62,626	1.0	64,798	5.0	66,970	5.0	68,780	
8.0	63,712	2.0	65,884	1.0	68,056	5.0	70,590	
8.0	64,436	3.0	66,970	3.0	69,504	2.0	72,400	
10.0	65,160	5.0	68,056	3.0	70,590	4.0	73,486	
10.0	65,884	1.0	69,142	4.0	72,038	3.0	74,572	
5.0	66,608	2.0	70,228	-	73,124	5.0	76,020	
10.0	67,332	6.0	70,952	3.0	74,210	8.0	77,106	
9.0	68,056	7.0	72,038	5.0	75,296	3.0	78,192	
34.0	68,780	31.0	73,124	24.0	76,382	43.0	79,278	
209.0		83.0		54.0		92.0		-
							909.0	

MA	MA+15	MA+30	MA+45
FTE x Salary	FTE x Salary	FTE x Salary	FTE x Salary
$ -	$ -	$ -	$ -
-	-	-	-
-	-	-	-
-	-	-	-
96,292	50,318	-	-
649,428	312,768	-	-
465,894	53,938	-	115,840
696,488	278,740	-	-
553,860	115,116	59,730	184,620
571,960	118,736	123,080	126,700
1,298,132	305,890	126,700	130,320
1,033,872	188,964	65,160	-
1,189,894	64,798	334,850	-
509,696	131,768	68,056	352,950
515,488	200,910	208,512	144,800
651,600	340,280	211,770	293,944
658,840	69,142	288,152	223,716
333,040	140,456	-	380,100
673,320	425,712	222,630	616,848
612,504	504,266	376,480	234,576
2,338,520	2,266,844	1,833,168	3,408,954
$ 12,848,828	$ 5,568,646	$ 3,918,288	$ 6,213,368
	Total Salaries		$ 52,512,082

Waterloo Community School District
Operating Statistics
Last Ten Fiscal Years
(Unaudited)

Year	Operating Expenditures*	Daily Average Attendance	Resident Students	Operating Cost Per Resident Student	Pupil/Teacher Ratio Elemen-tary	Pupil/Teacher Ratio Middle	Pupil/Teacher Ratio High School
2012	$ 118,441,759	10,062	10,720	11,049	11.30	10.70	12.30
2013	123,352,577	10,019	10,802	11,419	11.30	10.40	11.70
2014	121,279,224	10,320	10,991	11,034	11.80	10.70	11.60
2015	124,662,148	10,359	11,134	11,197	12.20	10.50	11.90
2016	124,746,081	10,250	10,936	11,407	11.80	10.80	12.00
2017	122,046,437	10,135	10,835	11,264	12.10	11.20	12.10
2018	128,146,481	10,149	10,879	11,779	12.10	11.80	12.40
2019	135,476,165	10,101	10,777	12,571	12.90	12.60	13.90
2020	138,916,971	** -	10,865	12,838	10.64	12.41	13.14
2021	142,306,249	** -	10,633	13,383	11.34	12.58	15.08

* Includes only General Fund expenditures, including AEA flowthrough
** Attendacne - COVID Affected

Source: District records

Note: This is the most recent information available for table presentation.

Waterloo Community School District
School Building Information
As of June 30, 2021
(Unaudited)

Name of School	Dates Constructed	Grades Served With Special Education	Building and Certified Enrollment Third Friday in September, 2020	Number of Classrooms
Preschool/Elementary Schools				
Elk Run/Freeburg	1952, 1954, 1956, 1962	Pre-K	71	4
Becker	2011, 2014	K-5	431	27
Cunningham	2002	K-5	358	29
Highland	2010	K-5	512	32
Irving	2003	K-5	417	30
Kingsley	1919, 1952, 1958, 2006	K-5	335	24
Kittrell	1950, 1955, 1960, 1962, 2009	K-5	561	33
Lincoln	2004	K-5	445	29
Lou Henry	2005	K-5	490	30
Lowell	1931, 2005, 2007, 2009	K-5	290	22
Orange	1915, 1951, 1954, 2014, 2015	K-5	513	31
Poyner	2007	K-5	363	49
			4,786	340
Middle Schools				
Bunger	1964, 2004, 2014	6-8	484	45
Carver	2009	6-8	478	36
Central	1972, 1980, 1991, 1994, 2006, 2008, 2017	6-8	493	67
Hoover	1967, 2004, 2008, 2014, 2015	6-8	882	54
			2,337	202
High Schools				
East	1916, 1939, 1954, 1955, 1956, 1962, 1975, 1986, 1988, 2002, 2004, 2009, 2013	9-12	1022	74
West	1955, 1962, 1980, 2002, 2009	9-12	1724	82
Alternative High School and Other Programs				
Expo	1952, 1961, 2000	6-12	468	47
			3,214	203
Subtotal			10,337	745
Open enrollment/tuition in			(40)	-
Resident students attending outside the district			336	-
Totals			**10,633**	**745**

Other Facilities - Nonstudent Occupancy	
Educational Service Center	1964
Maintenance, Transportation	1964, 1970, 1979
Studiam	1994
Bus Garage	2015
Information Technology	2016
Leased or Nonoccupied Facilities	
Castle Hill	1955, 1957, 1958

Source: District records

Waterloo Community School District
Building and Certified Resident Student Enrollment by Grade
Last Ten Fiscal Years
(Unaudited)

Grade	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Pre-K	71	105	115	113	136	140	145	89	120	244
Kindergarten	747	846	799	854	844	872	925	962	949	920
1	817	802	841	837	858	871	899	948	896	859
2	793	821	818	847	869	871	930	858	837	850
3	787	803	841	851	842	900	852	821	830	781
4	789	809	821	837	875	825	807	805	770	740
5	801	821	827	853	797	774	806	765	732	728
6	785	821	802	799	752	773	773	718	715	727
7	799	796	783	760	769	735	714	705	739	727
8	796	786	777	769	726	717	713	751	712	769
9	985	975	947	958	855	878	888	892	902	911
10	853	799	828	781	765	810	804	816	852	821
11	744	756	737	701	756	776	763	768	697	622
12	570	608	543	606	649	643	736	674	607	647
Special education	*	*	*	*	*	*	*	*	*	*
Subtotal	10,337	10,548	10,479	10,566	10,493	10,585	10,755	10,572	10,358	10,346
Open enrollment in	(40)	(32)	(41)	(40)	(42)	(46)	(49)	(58)	(52)	(48)
Open enrollment out	336	349	339	353	384	397	428	477	496	539
Totals	10,633	10,865	10,777	10,879	10,835	10,936	11,134	10,991	10,802	10,837

* The District has adopted an inclusionary philosophy regarding special education students so they are included in the appropriate grade.

Source: District records

Waterloo Community School District
Miscellaneous Information

Waterloo Community School District includes the cities of Waterloo, Evansdale, Elk Run Heights, Gilbertville and Raymond, part of the City of Cedar Falls and certain unincorporated area in Black Hawk, County, including Mt. Vernon, Bennington, East Waterloo, Poyner, Cedar and Orange Townships, encompassing a total of 150 square miles. Black Hawk County is located in northeast Iowa and was named for the famous Native American leader Black Hawk (1767-1838), the principal figure in the Black Hawk War of 1832. The first permanent residents of Black Hawk County were the Sturgis and Adams families who settled here in 1845. In 1850, the population of Black Hawk County was 135; Cedar Falls was the largest town. Population increased in Waterloo and in 1855, the county seat was moved from Cedar Falls to Waterloo. By 1868, 23,000 acres of land were under cultivation in Black Hawk County. In 1990, the county was the fourth largest in the state, with a population of 123,798.

The District operated 19 schools plus early childhood education buildings, an administration building, a maintenance building, warehouse and a bus garage. The following data provides the number of buildings per grade level:

	20-21	19-20	18-19	17-18	16-17	15-16	14-15	13-14	12-13	11-12
Elementary - K-5	11	11	11	11	11	11	11	11	11	11
Middle School - 6-8	4	4	4	4	4	4	4	4	4	4
High School - 9-12	3	3	3	3	3	3	3	3	3	3

The District contracts with Durham School Services to provide student transportation. Approximately 4,585 students are transported daily. On July 1, 2007, school meals were brought in-house serving approximately 1,510,000 meals for the year. Nursing services are provided by Unity Point Health. Driver education is contracted with Street Smarts.

The Board of Education meets on the second and fourth Mondays of each month during the school year and usually once a month in June and July.

The U.S. Census Bureau reports the population characteristics of Black Hawk County as follows:

Continued on next page

Waterloo Community School District
Miscellaneous Information

Waterloo Community School District
Population Characteristics

	1990		2000		2010	
	Number	Percent	Number	Percent	Number	Percent
Total Population	123,798	100.00	128,012	100.00	131,090	100.00
Persons by Gender						
Male	58,910	47.59	61,458	48.01	63,710	48.60
Female	64,888	52.41	66,554	51.99	67,380	51.40
Persons by Race						
White	113,656	91.80	113,194	88.43	112,213	85.60
Black	8,514	6.88	10,179	7.95	11,667	8.90
Other	1,628	1.32	4,639	3.62	7,210	5.50
Persons by Age						
Under 10	17,363	14.02	15,941	12.45	16,281	12.43
10-19	19,148	15.46	19,401	15.16	17,689	13.49
20-29	20,154	16.28	22,140	17.29	24,354	18.58
30-39	18,944	15.30	15,527	12.13	14,919	11.38
40-49	14,914	12.05	18,421	14.39	15,065	11.49
50-59	10,852	8.77	13,730	10.73	17,579	13.41
60-69	10,792	8.72	9,241	7.22	12,022	9.17
70-79	7,550	6.10	8,242	6.44	7,264	5.54
80 and over	4,081	3.30	5,369	4.19	5,917	4.51
Median Age of Population	32.9		34.4		34.4	
Total Households	46,932		49,683		51,366	
Persons Per Household	2.51		2.45		2.36	
Median Household Effective Buying Income	Not available		$33,088		$42,753	

Work Force

Waterloo/Cedar Falls, Iowa, labor force from Bureau of Labor Statistics, June, 2020 and censusviewer.com/county/IA:

Continued on next page

Waterloo Community School District
Miscellaneous Information

Statistical Review

Location – accessible by U.S. Highways 20, 63 and 218, as well as State Highways 21, 57, 58 and 281. Interstate 380 links the area with Interstate 80, a major east-west corridor. The community is located on the "Avenue of the Saints," an interstate that connects St. Paul, Minnesota, and St. Louis, Missouri.

Distance in highway miles from the Cedar Valley area:

Atlanta, Georgia	960	Denver, Colordao	790
Boston, Massachusetts	1,300	Kansas City, Missouri	295
Chicago, Illinois	265	Los Angeles, California	1,855
Cleveland, Ohio	650	Minneapolis, Minnesota	180
Dallas, Texas	845	St. Louis, Missouri	345

	Spring	**Summer**	**Fall**	**Winter**
Average Temperature	48.4	71.6	49.9	21.4
Average Rain (inches)	13.1	11.9	5.9	3.9
Average Snow (inches)	1.5	0	9	18.3

Transportation		
Rail Service	Canadian National/Illinois Central and Pacific	
	Iowa Northern Railway	
	Union Pacific	
Airport	Waterloo Regional Airport	
Commercial Carriers	American Airlines	
Business Services		
Hotels and Motels	Rooms	2,163
	Largest Banquet Capacity	2,000
Media	Newspapers	1 daily, 3 weekly
	Radio Stations	13
	Television Channels Received	7
	Cable Television Providers	2
Telecommunications	Local Operating Companies	Mediacom/CenturyLink
	Points of Presence (local)	MCI and AT&T
	Local Internet Service Providers	31

Continued on next page

Waterloo Community School District
Miscellaneous Information

Recreation and Sporting Activities	Public Parks	114
	Dog Parks	4
	Municipal Golf Courses	6
	Disc Golf Courses	7
	Public Swimming Pools/Aquatic Centers	6
	Public Tennis Courts	30
	Softball/Baseball Diamonds	23
	Ice Skating/Hockey Arenas	3
	Campgrounds:Sites	11:559
	Public Boat Launches	15
	Soccer Complex: Fields (Outdoor)	2:25
	Soccer Fields (Indoor)	2
Arts and Culture	Museums	13
	Public Libraries	3
	Visual Arts and Galleries	4
	Performing Arts Venues	12
	Amusement Centers	11
	Symphony Orchestra	2
Household Income	Real Median Household Income - Waterloo/Cedar Falls	$ 64,314

Cost of Living Comparisons

	Grocery	**Housing**	**Utilities**	**Trans-portation**	**Health Care**	**Miscel-laneous Goods and Services**
Chicago, IL	97.2	99.1	92.8	138.5	88	107.3
Madison, WI	97.9	111.1	109.5	85.8	92.9	104.6
Minneapolis, MN	101.2	119.1	99.7	108.5	95.8	108.2
Waterloo/Cedar Falls, IA	**92.9**	**40.7**	**90.6**	**64.3**	**104.8**	**95.8**

Sources: worldpopulationreview.com

Continued on next page

Community and Economic Development

The Iowa Northland Regional Council of Governments was formed in 1973 and is organized pursuant to Chapter 28E, State Code of Iowa. Their service area is a six-county area, including Black Hawk County. Their major functions are:

- To increase the coordination of programs between the local governments.
- To promote regional and metropolitan long-range planning.
- To provide a forum for the discussion of common interest, problems and concerns of the local governments.
- To provide mechanism for legally reviewing federal and state grant and aid programs for the cities and counties in the region.

The Greater Cedar Valley Alliance provides leadership in Black Hawk County for creating jobs through expansion of existing businesses and industries, new business formation and relocation of companies. It is governed by a Board of Directors, representing a wide geographical representation.
Special Attractions/Activities

The National Park Service has designated a large part of the northeast Iowa, including the Cedar Valley area, as a national heritage park area. This designation is for the express purpose of telling the story of America's agricultural and industrial revolution, resulting in significant tourism. Silos and Smokestacks is a private nonprofit organization, funded by city, state and federal funds and private contributions. Existing agricultural sites (National Cattle Congress, Rath facility, farms, etc.) are also being using as tourist attractions.

The county boasts of 8,600 park acres in 190 parks including Black Hawk Park, Hickory Hills Park, McFarlane Park, Paw Park, Hartman Reserve Nature Center, George Wyth State Park, Sturgis Park, Sullivan Park and Cedar Valley Nature Trail. The Cedar Valley Nature Trail winds along the Cedar River bottomlands between Waterloo and Cedar Rapids and has 106 miles of hard-surfaced trails, 10 miles of water trails and emerging network of soft trails. The Cedar Valley Lakes and Trails project is a cooperative venture which resulted in the creation of an 800-acre "Chain of Lakes" along a ten-mile Cedar River corridor in the Waterloo/Cedar Falls area.

The area also features a variety of performing arts centers including the Oster Regent Theatre, Waterloo Community Playhouse, Black Hawk Children's Theatre, Strayer-Wood Theatre at the University of Northern Iowa, Waterloo/Cedar Falls Symphony Orchestra, the UNI School of Music, Lampost Theatre and Coffee Co., the RiverLoop Ampitheatre and Hawse Auditorium at Hawkeye Community College. The University of Northern Iowa is home to 115,000 square foot Gallagher-Bluedorn Performing Arts Center. The main auditorium can accommodate 1,680 concert goers, with each seat less than 100 feet from the stage and no more than 30 degrees off center.

The Isle of Capri Casino and Hotel is a tropical paradise offering 950 slots, including more than 75 video poker machines, 27 table games, 3 restaurants, a feature bar, resort pool, spa and 600-seat entertainment venue. The hotel has 195 rooms and 27 suites.

Continued on next page

The Phelps Youth Pavilion is a 39,000 square foot children's museum filled with creative, hands-on experiences for children of all ages.

Other Attractions

- Antique Acres
- Behrens-Rapp Visitor Information Station
- Black Hawk Tennis Club
- Bluedorn Science Imaginarium
- Byrnes Park Tennis Center
- Cedar Valley Arboretum and Botanic Gardens
- Cedar Valley Soccer Complex
- Cedar Valley Sportsplex
- County Gentleman's Horse and Carriage Service, Inc.
- Farmers Markets
- Five Sullivan Brothers Convention Center
- Full Court Sports Academy
- George Wyth House
- Get Air Waterloo
- Grout Museum of History and Science
- Hansen's Farm Fresh Dairy
- Hawkeye Community College
- Hearst Center for the Arts and Sculpture Garden
- Ice House Museum
- John Deere Operations
- John Deere Tractor and Engine Museum
- John Livingston Display
- Little Red School House Museum
- Lost Island Adventure Park
- Mark's Park
- Marshall Center One-Room School

Continued on next page

McLeod Center

Metropolitan Chorale

National Wrestling Hall of Fame/Dan Gable Museum

Rensselaer Russell House Museum

River Front Stadium

RiverLoop Public Market Co-op

RiverLoop, Arts Malls and Mark’s Park

Sullivan Brothers Iowa Veterans Museum

Sunrise Exchange Club Children’s Petting Zoo

Tailgrass Prairie Center

The Falls Aquatic Center

UNI Botanical Center

UNI-Dome

UNI-Gallery of Art

UNI Wellness/Recreation Center

Victorian Home and Carriage House Museum

Viking Pump Museum

WaterHawks Ski Team

Waterloo Black Hawks Hockey Team

Waterloo Bucks Baseball Team

Waterloo Center for the Arts

Waterloo Municipal Band Concerts

Young Arena

Special Events

July	Accel Triathlon
	Mayor’s Downtown Fireworks Festival
	Iowa Irish Fest
	Iowa Shrine Bowl Football

Continued on next page

	Iowa State Trap Shoot
	Waterloo Open Golf Tournament
	Riverview Gospel Sing
	Feelin Sour
August	Stem and Stein
	Cedar Valley Pridefest
	Iowa Irish Fest
	Old Time Power Show
September	Artapalooza
	Fall Harvest Festival
	National Cattle Congress Fair
	Cedar Valley Pedal Fest
October	
November	Festival of Trees
	Holiday Arts Festival
	Holiday Hoopla
	Iowa High School Football Playoffs
	Winter Wonder’loo

Continued on next page

Waterloo Community School District
Miscellaneous Information

December	Battle of Waterloo Wrestling Tournament
	Holiday Hoopla Continues
January	Iowa Boat, RV, and Vacation Show
	Cedar Valley Winterfest
February	Iowa Games Fat Bike Race
	Eastern Iowa Home and Landscaping Show
March	Hawkeye Farm Show
	Eastern Iowa Sports Show
	First Regional Robotics Competition
	Funky Junk-A-Loo
	Maple Syrup Festival
	Antique Spectacular Vintage Market
	World's Greatest Spring Break for Kids
April	Taste of 'Loo
	USAW Folkstyle Nationals
May	4th Street Cruise
June	College Hill Arts Festival
	Food Truck Fest
	My Waterloo Days Festival
	Sturgis Falls Celebration/Cedar Basin Jazz Festival

Waterloo Community School District
Insurance Schedule
As of June 30, 2021
(Unaudited)

	Coverage	Deductible
School Package Policy, EMC Insurance Companies		
Building and contents, all locations	$ 380,343,389	$ 50,000
Errors and omissions liability	2,000,000	3,000
Workers' compensation	500,000	-
General liability (per occurrence)	2,000,000	-
Personal injury liability	2,000,000	-
Theft	20,000	1,000
Computer fraud (crime)	500,000	5,000
Umbrella liability (stand alone)	9,000,000	10,000
Umbrella liability (group excess)	15,000,000	-
Employee dishonesty	500,000	5,000
Contract maintenance	649,463	-
Cyber liability	3,000,000	25,000
Owned Automobile Policy, EMC Insurance Companies		
Liability (each accident)	2,000,000	-
Automobile medical payments (each person)	2,000	-
Uninsured motorists bodily injury (each person)	1,000,000	-
Underinsured motorists (each person)	1,000,000	-
Comprehensive	-	500
Collision	-	500
Garage keepers	50,000	500

Source: District records

Waterloo Community School District
Waterloo, Iowa

Reports on Government Auditing Standards and the Uniform Guidance – Single Audit

June 30, 2021

Waterloo Community School District
Table of Contents

Waterloo Community School District
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2021

Federal Agency/Pass Through Agency/Program Title	CFDA Number	Expenditures
U.S. Department of Agriculture		
Through Iowa Department of Education		
Child nutrition cluster		
Commodities Programs (noncash assistance)	10.555	$ 272,884
School Breakfast	10.553	879,175
Summer Food Service	10.559	108,789
COVID-19 School Nutrition Program	10.555	1,260,121
Type A Lunch	10.555	2,962,754
Total child nutrition cluster		5,483,723
Fresh Fruit and Vegetable Program	10.582	88,672
Total U.S. Department of Agriculture		5,572,395
U.S. Department of Education		
Through Area Education Agency 267		
Special education grants to states	84.027	604,936
Through Iowa Department of Education		
Title I Grants to Local Educational Agencies	84.010	4,808,842
Title I - Migrant Education	84.011	96,742
Career and Technical Education - Basic Grants to States	84.048	207,785
Rehabilitation Services - Vocational Rehabilitation Grants to States	84.126	205,535
School Safety National Activities	84.184	150
21st Century Community Learning Centers	84.287	226,939
English Language Acquisition State Grants	84.365	140,001
Title IIA - Federal Teacher Quality Program	84.367	588,684
Student Support and Academic Enrichment Program (Title IV)	84.424	241,053
COVID-19 Governors Emergency Education Relief	84.425C	527,675
COVID-19 Elementary and Secondary Schools Emergency Relief	84.425D	13,061,844
COVID-19 American Rescue Plan	84.425U	72,857
Total through Iowa Department of Education		20,178,107
Total U.S. Department of Education		20,783,043
U.S. Department of Health and Human Services		
Through Iowa Department of Education		
Foster Care Title IV-E	93.658	258
Through Tri-County Child and Family Development Council, Inc.		
Headstart	93.600	884,616
Total U.S. Department of Health and Human Services		884,874
Total federal expenditures		$ 27,240,312

Federal Agency/Pass Through Agency/Program Title	CFDA Number	Amount Provided to Subrecipients
COVID-19 Elementary and Secondary Schools Emergency Relief		
Immaculate Conception	84.425D	$ 21,402
Blessed Maria Assunta Pallota Middle School	84.425D	50,161
Columbus Catholic High School	84.425D	59,290
Don Bosco High School	84.425D	24,077
St. Joseph Elementary	84.425D	21,402
Waterloo Christian High School	84.425D	538
Total Elementary and Secondary Schools Emergency Relief		$ 176,870

See notes to Schedule of Expenditures of Federal Awards.

Waterloo Community School District
Notes to the Schedule of Expenditures of Federal Awards

NOTE 1 – BASIS OF PRESENTATION

The accompanying Schedule of Expenditures of Federal Awards includes the federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this Schedule is presented in accordance with the requirements of the Uniform Guidance. Therefore, some amounts presented in this Schedule may differ from amounts presented in, or used in the preparation of the basic financial statements.

NOTE 2 – PASS-THROUGH GRANT NUMBERS

All pass-through entities listed above use the same CFDA numbers as the federal grantors to identify these grants and have not assigned any additional identifying numbers.

NOTE 3 – INVENTORY

Inventories of commodities donated by the U.S. Department of Agriculture are recorded at market value in the Food Service Fund as inventory. Revenue and expenditures are recorded when commodities are used.

NOTE 4 – INDIRECT COST RATE

The District did not elect to use the 10 percent de minimis indirect cost rate, as allowed under the Uniform Guidance.

Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Basic Financial Statements Performed in Accordance with *Government Auditing Standards*

Independent Auditor's Report

To the School Board
Waterloo Community School District
Waterloo, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the basic financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ending June 30, 2021, and the related notes to basic financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 9, 2021.

Internal Control over Financial Reporting
In planning and performing our audit of the basic financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the basic financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's basic financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. We did identify certain deficiencies in internal control, described in the accompanying schedule of findings and questioned costs that we consider to be a material weakness identified as Audit Finding 2021-001.

Compliance and Other Matters
As part of obtaining reasonable assurance about whether the District's basic financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the basic financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters that are described in part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2021, are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Responses to Findings
Waterloo Community School District's responses to findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. Waterloo Community School District's responses were not subject to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we express no opinion on them.

Purpose of this Report
The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

BerganKDV, Ltd.

St. Cloud, Minnesota
November 9, 2021

Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance in Accordance with the Uniform Guidance

Independent Auditor's Report

To the School Board
Waterloo Community School District
Waterloo, Iowa

Report on Compliance for Each Major Federal Program
We have audited the compliance of Waterloo Community School District, Waterloo, Iowa with the types of compliance requirements described in the U.S. *Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2021. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs in Accordance with the Uniform Guidance.

Management's Responsibility
Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility
Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements of Federal Awards (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program
In our opinion, Waterloo Community School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2021.

Report on Internal Control over Compliance
Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Report on Schedule of Expenditures of Federal Awards Required by the Uniform Guidance
We have audited the basic financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Waterloo Community School District, Waterloo, Iowa, as of and for the year ended June 30, 2021, and the related notes to basic financial statements, which collectively comprise the District's basis financial statements. We issued our report thereon dated November 9, 2021, which contained unmodified opinions on the basic financial statements. We conducted our audit to opine on the District's basic financial statements as a whole.

Report on Schedule of Expenditures of Federal Awards Required by the Uniform Guidance (Continued)

The accompanying Schedule of Expenditures of Federal Awards presents additional analysis required by the Uniform Guidance and is not a required part of the basic financial statements. The schedule is management's responsibility and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. We subjected this schedule to the auditing procedures we applied to the basic financial statements. We also applied certain additional procedures, including comparing and reconciling this schedule directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Schedule of Expenditures of Federal Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

BerganKDV, Ltd.

St. Cloud, Minnesota
November 9, 2021

Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance

SECTION I – SUMMARY OF AUDITOR'S RESULTS

Basic Financial Statements

Type of auditor's report issued:	We issued an unmodified opinion on the fair presentation of the basic financial statements of the governmental activities, each major fund and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP).
Internal control over financial reporting:	
• Material weakness(es) identified?	Yes 2021-001
• Significant deficiency(ies) identified?	No
Noncompliance material to basic financial statements noted?	No

Federal Awards

Type of auditor's report issued on compliance for major programs:	Unmodified
Internal control over major programs:	
• Material weakness(es) identified?	No
• Significant deficiency(ies) identified?	No
Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516?	No

Identification of Major Programs

CFDA No:	84.010
Name of Federal Program or Cluster:	Title I Grants to LEAs
CFDA No:	93.600
Name of Federal Program or Cluster:	Head Start
Dollar threshold used to distinguish between type A and type B programs:	$750,000
Auditee qualified as low risk auditee?	Yes

Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance

SECTION II – BASIC FINANCIAL STATEMENT FINDINGS

Criteria or Specific Requirement:
Internal control that supports the District's ability to initiate, record, process and report financial data requires adequate controls to ensure all required adjustments to the basic financial statements are properly recorded.

Condition:
During the course of our engagement, we proposed a material audit adjustment that would not have been identified as a result of the District's existing internal control system and, therefore, could have resulted in material misstatements of the District's basic financial statements.

In order to ensure basic financial statements were free from material misstatements, an audit adjustment was required to properly adjust capital assets.

Context:
This finding impacts the internal control over financial reporting.

Effect or Potential Effect:
Internal controls that fail to identify necessary adjustments could result in material misstatements to the basic financial statements.

Cause:
There are a limited number of office employees to identify all necessary adjustments.

Recommendation:
Review District activity and ensure all necessary adjustments to financial data are recorded.

Management's Response:

CORRECTIVE ACTION PLAN (CAP):

1. Explanation of Disagreement with Audit Finding
   There is no disagreement with the audit finding.

2. Actions Planned in Response to Finding
   Administration will ensure that all material entries are recorded prior to the audit.

3. Official Responsible for Ensuring CAP
   Michael Coughlin, Chief Financial Officer, is the official responsible for ensuring corrective action of the deficiency.

4. Planned Completion Date for CAP
   The planned completion date for the CAP is June 30, 2022.

5. Plan to Monitor Completion of CAP
   The School Board will be monitoring this CAP.

Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None

SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING

IV-A-21 – Certified Budget

We noted no instances where the expenditures for the year ended June 30, 2021, exceeded the amended certified budget.

IV-B-21 – Questionable Expenditures

We noted no expenditures that may not meet the requirements of public purpose as defined in an Attorney General's Opinion dated April 25, 1979.

IV-C-21 – Travel Expense

No expenditures of District money for travel expenses of spouse of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-21 – Business Transactions

No business transactions between the District and District officials or employees were noted.

IV-E-21 – Restricted Donor Activity

No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa

IV-F-21 – Bond Coverage

Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that coverage is adequate for current operations.

IV-G-1 – Board Minutes

No transactions were found that we believe should have been approved in the Board minutes but were not.

SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING (CONTINUED)

IV-H-21 – Certified Enrollment

Finding – The following variances in the basic enrollment data certified to the Iowa Department of Education were noted:

- The District counted three students that were not enrolled.
- The District missed one resident student.

The error resulted in the District over-reporting by 2 students.

Auditor's Recommendation – The District should review procedures to ensure accurate counts are taken throughout the year and accurate enrollment data is certified to the Iowa Department of Education.

District's Response and Corrective Action Plan – The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above changes. The District will continue to monitor reconciliations of District information to information certified to the Iowa Department of Education.

Auditor's Conclusion – Response accepted.

IV-I-21 – Supplementary Weighting

There were no variances noted in the supplementary weighting data certified to the Iowa Department of Education.

IV-J-21 – Deposits and Investments

No instances of noncompliance with the deposit and investment provisions of Chapter 12B and 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-21 – Certified Annual Report

The Certified Annual Report was certified timely to the Iowa Department of Education.

IV-L-21 – Categorical Funding

No instances were found of categorical funding being used to supplant rather than supplement other funds.

SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING (CONTINUED)

IV-M-21 – Statewide Sales, Services, and Use Tax

No instances of noncompliance with the allowable use of the statewide sales, services, and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2021, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		$ 14,187,692
Revenue		
Sales tax revenue	$ 10,845,298	
Other local revenue	139,689	
Federal revenue	834,079	
Bond proceeds	25,826,399	37,645,465
Expenditures/transfers out		
School infrastructure construction	16,736,023	
Other	238,906	
Transfer to other funds		
Debt service fund	11,623,855	28,598,784
Ending balance		$ 23,234,373

For the year ended June 30, 2021, the District did not reduce any levies as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

IV-N-21 – Deficit Balances

There were no student activity accounts with deficit balances at June 30, 2021.